

**SHARMA EAST INDIA HOSPITALS
& MEDICAL RESEARCH LIMITED**

**30th Annual Report
2018-2019**



**Jaipur
Hospital**

We care for life.....

**Serving Excellence from 30 Years
1989-2019**

CORPORATE INFORMATION

CIN: L85110RJ1989PLC005206

Board of Directors
(As on 08th August, 2019)

Dr. Shailendra Kumar Sharma (DIN: 00432070)

(Managing Director)

Dr. Karan Sharma (DIN: 01484050)

(Non Executive Director)

Mrs. Maya Sharma (DIN: 00432496)

(Non Executive Director)

Mr. Subhash Chand Jain (DIN: 00432108)

(Independent Director)

Mr. Madhur Krishna Khaitan (DIN: 00820760)

(Independent Director)

Chief Financial Officer

Mr. Vimal Kumar Joshi

**Company Secretary
cum Compliance officer**

Mr. Shiv Shankar Sharma

Auditors

M/s. Amit Goyal & Co.,

Chartered Accountants

Jaipur

Listed at

BSE Ltd.

Bankers

PNB & SBI

Registered Office

Jaipur Hospital

Lal Kothi, Near S.M.S. Stadium

Tonk Road, Jaipur-302015 (Rajasthan)

Phone: 0141-2742557, 2742817

Website: www.jaipurhospital.co.in

Email: sharmaeastindia@gmail.com

**Registrar and Transfer
Agents**

M/s Beetal Financial & Computer Services P. Ltd

Beetal House, 3rd Floor, 99, Madangir, Behind Local

Shopping Centre, Near Dada Harshukh Das Mandir,

New Delhi-110062

30th Annual General Meeting

MONDAY THE 30TH SEPTEMBER, 2019

AT SHARMA AGRICULTURAL FARM

TAKIA KI CHOWKI, KALWAR ROAD, JHOTWARA, JAIPUR

AT 03.00 PM

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SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

A Brief about the Company and major achievements at a glance:-

1. Sharma East India Hospitals and Medical Research Limited (CIN: L85110RJ1989 PLC005206) is a public limited Company registered under the provisions of Companies Act, 1956. The Company is listed at BSE Ltd. The Company is primarily engaged in providing medical & healthcare services.
2. The Company is running a renowned multi specialty hospital in the name and style of Jaipur Hospital at Lal Kothi, Tonk Road, Jaipur since 1989. As far as the achievements of the company are concerned, the first assessment of the company was conducted by National Accreditation Board for Hospitals and Health Care Providers (NABH), NABH accreditation system is one of the methods for commitment to quality enhancement throughout whole of the health care system in India. It involves all professional and service groups to ensure that high quality in health care is achieved, while minimizing the inherent risks associated with modern health care delivery. NABH accreditation is a scarce jewel for the Company.
3. Performance of the organization against the stated mission is achieved by the increase in number of patients.
4. After the new approvals, now company is empanelled with various Institutions and TPAs namely, Jaipur Development Authority (JDA), Med save Health Care Limited, MD India Healthcare Services (TPA) (P) Ltd., Medicare TPA Services (I) Pvt. Ltd., Rajasthan Rajya Sahakari Bhoomi Vikas Bank Limited, Rajasthan State Pollution Control Board, Central Institute of Plastics Eng. & Technology, Mecon Limited, National Textile Corporation (Delhi, Punjab, & Raj.)Ltd., Rajasthan Tours Pvt. Ltd, Central Sheep & Wool Research Institute, Central Bank of India, The Bank Officers'(Retired)Association, Rajasthan Sanskrit University, ITC Limited, Parivar Seva Sanstha, Hotel Jaipur Ashok, University of Rajasthan, Ashok Club, Airport Authority Of India, Hexacom India Limited, Dedicated Healthcare Services TPA (P) Ltd., Rashtriya Chemical & Fertilizers Limited, Rajasthan State Cooperative Marketing Federation Limited (RAJFED), Rajasthan State Mines & Minerals Limited, Tata Memorial Center Hospital (Tissue Bank), National Fertilizers Limited, Employees' State Insurance Corporation, The Smile Train, Rajasthan State Industrial Development & Investment Corporation Limited (RIICO), Hindustan Petroleum Corporation Ltd, Housing & Urban Development Co. Ltd , Ex-Servicemen Contributory Health Scheme (ECHS), The General Manager Claim Dept. (RAJCOMP), Central Government Health Scheme, Rajasthan State Road Development & Construction Corporation Limited, Rajasthan Tourism Development Corporation Limited (RTDC), Alankit Health Care Limited, Rajasthan State Seeds Corporation Limited, Family Health Plan Ltd., Rajasthan Energy Development Agency, Raksha TPA Pvt. Ltd., Rajasthan State Ware House Corporation, UCO Bank, Rajasthan Cooperative Dairy Federation Ltd., State Bank Of India, Rastriya Ispat Nigam Limited, Paramount Health Services (P) Limited, Reserve Bank Of India, E-Meditek TPA Services Limited, Bank of India.

NOTICE

Notice is hereby given that the 30th Annual General Meeting (AGM) of the members of Sharma East India Hospitals & Medical Research Limited will be held as per the schedule below:

Date	:	30 th September, 2019
Day	:	Monday
Time	:	3.00 P.M.
Place	:	Sharma Agricultural Farm, Takia Ki Chowki, Kalwar Road, Jhotwara, Jaipur

To transact the following business:

ORDINARY BUSINESS:

1. Adoption of Financial Statements

To receive, consider and adopt the Audited Financial Statements of the Company for the financial year ended March 31, 2019 and the Reports of the Board of Directors and the Auditors thereon.

2. Re-appointment of Mrs. Maya Sharma as a Director, liable to retire by rotation

To appoint a Director in place of Mrs. Maya Sharma (DIN: 00432496) who retires by rotation and being eligible, offers herself for re-appointment and if thought fit, to pass a resolution as an Ordinary Resolution:

“RESOLVED THAT pursuant to provisions of Section 149 and 152 of the Companies Act, 2013, Mrs. Maya Sharma (DIN: 00432496), who retires by rotation and being eligible, offers herself for re-appointment, be and is hereby re-appointed as a director of the Company, liable to retire by rotation”.

August 08, 2019
Registered Office

Jaipur Hospital
Lal Kothi, Near S.M.S. Stadium
Tonk Road, Jaipur-302015
CIN: L85110RJ1989PLC005206

BY ORDER OF THE BOARD

Sd/-
Shiv Shankar Sharma
(COMPANY SECRETARY)

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

NOTES:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not to be a member of the Company. The instrument appointing the proxy, in order to be effective, must be deposited at the Company's Registered Office, duly completed and signed, not less than FORTY-EIGHT HOURS before the meeting(i.e. on or before 28th September, 2019) Proxies submitted on behalf of limited companies, societies, etc., must be supported by appropriate resolutions/authority of Board of Directors, as applicable. A person can act as proxy on behalf of Members not exceeding fifty (50) and holding the aggregate not more than 10% of the total share capital of the Company. In case a proxy is proposed to be appointed by a Member holding more than 10% of the total share capital of the Company carrying voting rights, then such proxy shall not act as a proxy for any other person or shareholder.
2. Members / Proxies / Authorised representatives should bring the duly filled Attendance Slip enclosed here with to attend the meeting.
3. The Register of Contracts and Arrangements, in which Directors are interested, maintained under section 189 of the Companies Act, 2013 will be available for inspection by the members at the AGM.
4. The Register of Directors and Key Managerial Personnel and their shareholding maintained under section 170 of the Companies Act, 2013 will be available for inspection by the members at the AGM.
5. During the period beginning 24 hours before the time fixed for the commencement of the meeting and ending with the conclusion of the meeting, a member would be entitled to inspect the proxies lodged at any time during the business hours of the Company, provided that not less than three days notice in writing is given to the Company.
6. The Register of Members and Share Transfer Books of the Company will remain closed from Tuesday, 24th September, 2019 to Monday, 30th September, 2019 (both days inclusive).
7. Members holding shares in dematerialized form are requested to intimate all changes pertaining to their bank details, National Electronic Clearing Service (NECS), Electronic Clearing Service (ECS) mandates, nominations, power of attorney, change of address, change of name, e-mail address, contact numbers etc., to their Depository Participant (DP), changes intimated to the DP will then be automatically corrected in the Company's records which will help the Company and the Company's Registrars and Transfer Agents

M/s Beetal Financial & Computers Services (P) Ltd. to provide efficient and better services. Members holding shares in physical form are requested to intimate such changes to M/s Beetal Financial & Computers Services (P) Ltd.

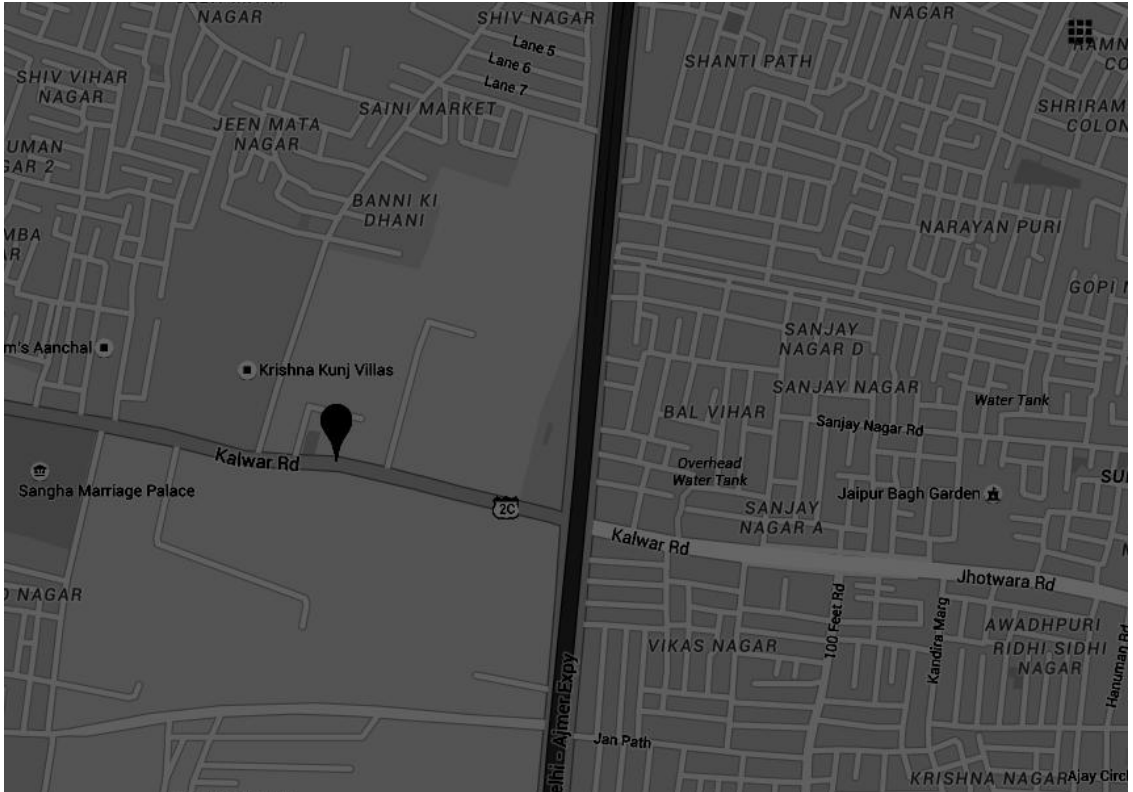
8. With a view to using natural resources responsibly, we request shareholders to update their email address with their Depository Participants to enable the Company to send communications electronically.
9. The Notice of the AGM along with the Annual Report 2018-19 is being sent to all members of the Company through permitted mode.

The Securities and Exchange Board of India (SEBI) has mandated the submission of Permanent Account Number (PAN) by every participant in the securities market. Members holding shares in electronic form are, therefore, requested to submit their PAN to the depository participants with whom they maintain their demat accounts. Members holding shares in physical form should submit their PAN to the Company/ Registrar.

10. According to the provisions of section 108 of the Companies Act, 2013 and sub rule 2 of Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended from time to time, and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, all the listed Companies are mandatorily required to provide to its members facility to exercise their right to vote on resolutions proposed to be considered at general meeting by electronic means. So the Company has provided a facility to the members to cast their vote electronically, through the e-voting services facility arranged by CDSL on all resolutions set forth in this Notice. The facility for voting through ballot paper will also be made available at the AGM and members attending the meeting who have not already cast their votes by remote e-voting shall be able to exercise their right at the AGM through the ballot paper. Members who have cast their votes by remote e-voting prior to the AGM may attend the AGM but shall not be entitled to cast their votes again. The business at the Annual General Meeting may be transacted through electronic voting system. The instructions for e-voting are annexed to the notice.
11. Members are requested to lodge the transfer, transmission of shares at the registered office or to the Registrar & Share Transfer Agent M/s. Beetal Financial & Computer Services (P) Ltd, Beetal House, 3rd Floor, 99, Madangir, Behind Local Shopping Centre, Near Dada Harshukh Das Mandir, New Delhi-110062 and to inform any change in their address immediately so as to enable the company to do future communications at their correct address.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

12. The Company's shares are listed at BSE Limited.
13. Pursuant to Regulation 36 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, additional information of Directors seeking appointment/re-appointment at the Annual General Meeting is furnished as annexure to this notice.
14. All documents referred to in the notice will be available for inspection at the Company's Registered Office during normal business hours on working days up to the date of the AGM.
15. The annual report and other documents are also available on the Company's website: www.jaipurhospital.co.in.
16. Pursuant to SEBI circular, shareholders, whose ledger folios do not have or have incomplete details with regard to PAN and Bank Particulars are required to compulsorily furnish the details to the RTA/to the Company for registration in their folio. The Companies Act, 2013 and rules made thereunder also require the further details to be submitted to the Company like PAN, email address, Father's/ Mother's/ Spouse's name and bank particulars. Members holding shares in electronic form are, therefore requested to submit PAN and other details to their Depository Participants with whom they are maintaining demat accounts.
17. With reference to SS-2 for the easy convenience of recipients of notice, Route Map to the venue of Annual General Meeting of the company is as under



August 08, 2019

Registered Office

Jaipur Hospital
Lal Kothi, Near S.M.S. Stadium
Tonk Road, Jaipur-302015
CIN: L85110RJ1989PLC005206

BY ORDER OF THE BOARD

Sd/-

**Shiv Shankar Sharma
(COMPANY SECRETARY)**

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Brief Profile of Directors seeking Re-appointment/Appointment at the Thirtieth Annual General Meeting
(in pursuance of Regulation 36 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

Name of Directors	Mrs. Maya Sharma
Date of Birth	25.12.1958
Date of Appointment	18.09.2015
Expertise in Specific Functional Area	General Management
Qualification	Graduate
Shareholding	1,60,800
Relationship with other Directors	Dr. Shailendra Kumar Sharma – Spouse
	Dr. Karan Sharma - Son
List of Public Companies in which outside Directorship held on 31.03.2019	NIL
Chairman/ Member of Committees in outside Public Companies in which he/she is a Director as on 31.03.2019	NIL

SHAREHOLDER INSTRUCTIONS FOR E-VOTING

The instructions for shareholders voting electronically are as under:

- (i) The voting period begins on Friday, 27th day of September, 2019 (10:00 A.M.) and ends on Sunday, 29th day of September, 2019 (5.00 P.M.). During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of Monday, 23rd day of September, 2019 may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
- (ii) The shareholders should log on to the e-voting website www.evotingindia.com.
- (iii) Click on Shareholders.
- (iv) Now Enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Members holding shares in Physical Form should enter Folio Number registered with the Company.
- (v) Next enter the Image Verification as displayed and Click on Login.
- (vi) If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.
- (vii) If you are a first time user follow the steps given below:

For Members holding shares in Demat Form and Physical Form	
PAN	- Enter your 10 digit alpha-numeric PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) - Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number in the PAN field. - In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters. Eg. If your name is Ramesh Kumar with sequence number 1 then enter RA00000001 in the PAN field.
Dividend Bank Details OR Date of Birth (DOB)	- Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. - If both the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (iv).

- (viii) After entering these details appropriately, click on "SUBMIT" tab.

- (ix) Members holding shares in physical form will then directly reach the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.
- (x) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- (xi) Click on the EVSN for the Sharma East India Hospitals and Medical Research Limited.
- (xii) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- (xiii) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.
- (xiv) After selecting the resolution you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.
- (xv) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.
- (xvi) You can also take a print of the votes cast by clicking on "Click here to print" option on the Voting page.
- (xvii) If a demat account holder has forgotten the login password then enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.
- (xviii) Shareholders can also cast their vote using CDSL's mobile app m-Voting available for android based mobiles. The m-Voting app can be downloaded from Google Play Store. Apple and Windows phone users can download the app from the App Store and the

Windows Phone Store respectively. Please follow the instructions as prompted by the mobile app while voting on your mobile.

(xix) Note for Non – Individual Shareholders and Custodians

- Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be e-mailed to helpdesk.evoting@cdslindia.com.
- After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- The list of accounts linked in the login should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
- A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.

(xx) In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions (“FAQs”) and e-voting manual available at www.evotingindia.com, under help section or write an email to helpdesk.evoting@cdslindia.com.

BOARD'S REPORT

To,

The Members,

Your Directors have pleasure in submitting their Thirtieth Annual Report on the business and operations of your Company together with the Audited Financial Statement for the year ended 31st March, 2019.

1. FINANCIAL SUMMARY / HIGHLIGHTS

	(Rs. in Lakhs)	
	<u>For the year ended on</u>	
	2018-2019	2017-2018
Revenue from operations & Other income	1583.64	1607.14
Profit before interest, Depreciation & Tax	174.48	153.20
Less : Interest	87.97	73.26
Operating Profit	86.51	79.94
Less: Depreciation	52.12	61.92
Net Profit before Tax	34.39	18.02
Add/(Less): Tax Expense		
Current Tax	6.62	5.83
Deferred Tax	1.28	(1.00)
Adjustment of taxes of earlier years	(0.10)	-
Net Profit After Tax	26.59	13.19
Add: other comprehensive Income	1.18	-
Less: Income Tax relating to other comprehensive Income	(0.12)	-
Add: Surplus brought forward from Previous Year	345.64	332.45
Surplus carried forward to Balance Sheet	373.29	345.64
Earning per Share (Basic & Diluted)	0.84	0.40

2. REVIEW OF BUSINESS OPERATIONS AND FUTURE PROSPECTS

The Company's Total Income i.e. Revenue from Operations and Other Income are Rs. 1583.64 Lakhs and the profit after tax is Rs. 27.65 Lakhs during the current year.

Further your Company has been continuously making efforts to enhance the operations and also trying to hold its grip over upcoming opportunities in Medical & Health Industry.

3. DIVIDEND

Your Directors have considered it financially prudent in the long-term interests of the Company to reinvest the profits into the business to build a strong reserve base and grow the business of the Company. Further, in view of marginal funds, the Board of Directors doesn't recommended payment of dividend for the year under review.

4. TRANSFER TO RESERVES

No amount has been transferred to General Reserve during the year. The company carries reserves of Rs. 373.29 Lakhs under the head surplus at the end of the financial year 2018-19.

5. SIGNIFICANT MATERIAL CHANGES AFTER BALANCE SHEET DATE AFFECTING FINANCIAL POSITION

There are no changes and commitments affecting the financial position of the company which have occurred between the date of Balance Sheet i.e. 31.03.2019 and the date of this report.

6. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Details pertaining to Conservation of Energy and Technology Absorption as required under Section 134 (3) (m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014 are as follows:-

- (A) Conservation of Energy: The operations of the company are not energy intensive. We regularly evaluate and use new energy efficient technologies and make necessary investment in energy saving equipments to make our infrastructure more energy-efficient. The company is continuously striving to conserve the energy at its all levels.
- (B) Technology Absorption: Your Company strives for latest technology for its processes and also strives to achieve full technology absorption.

There were no foreign exchange earnings and outgo during the financial year.

7. DEVELOPMENT AND IMPLEMENTATION OF RISK MANAGEMENT POLICY OF THE COMPANY

The Risk Management of the Company is overseen by the Board of Directors at various levels and the policy of the Company on Risk Management is provided in this Annual Report in Management Discussion and Analysis Report.

8. CORPORATE SOCIAL RESPONSIBILITIES (CSR)

The Company does not meet the criteria of Section 135 of Companies Act, 2013 read with the Companies (Corporate Social Responsibility Policy) Rules, 2014. The Company has not developed and implemented any Corporate Social Responsibility policy as the said provisions are not applicable to the Company.

9. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS MADE UNDER SECTION 186 OF THE COMPANIES ACT, 2013

Details of loans, investments and guarantees covered under the provisions of Section 186 of Companies Act 2013 are given in the Notes forming part of Financial Statements.

10. PARTICULARS OF CONTRACTS OR ARRANGEMENTS MADE WITH RELATED PARTIES

All related party transactions that were entered into during the financial year were on an arm's length basis and were in the ordinary course of business.

The details forming part of the Related Parties Transactions under Section 188(1) of the Companies Act, 2013 during the year as per Form AOC-2 is enclosed as **Annexure A**. Further there were no contracts or arrangements entered with the Company's Promoters, Directors, Management or their relatives which could have had a potential conflict with the interests of the company. The details of RPTs entered during the year are disclosed in the notes forming part of the financial statements.

11. EXPLANATIONS OR COMMENTS ON QUALIFICATIONS, RESERVATIONS OR ADVERSE REMARKS OR DISCLAIMERS MADE BY THE AUDITORS AND THE SECRETARIAL AUDITORS IN THEIR REPORTS

Observations of Statutory Auditors and Secretarial Auditors are self-explanatory and do not call for any further comments.

i. Statutory Auditors :

During the year under review, there were no audit qualifications made by the Auditors in their Report on the Company's financial statements. The Company continues to adopt best accounting practices to ensure a regime of un-qualified financial statements.

ii. Secretarial Auditors :

Secretarial Audit is conducted according to the provisions of Section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. There were no adverse comments, qualifications or reservations or adverse remarks in the Secretarial Audit Report.

The Secretarial Audit Report submitted by Secretarial Auditor is enclosed as a part of this report as **Annexure- B**.

12. REMUNERATION RATIO OF THE DIRECTORS/ KEY MANAGERIAL PERSONNEL (KMP)/EMPLOYEES

The information required pursuant to Section 197 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 in respect of Directors and Key Managerial Personnel of the Company is furnished in **Annexure C** to this report.

13. COMPANY'S POLICY RELATING TO DIRECTORS' APPOINTMENT AND REMUNERATION

The remuneration policy of the company has been framed by the Nomination and Remuneration Committee of the Company. The Company's Policy relating to appointment of Directors, payment of remuneration, Directors' qualifications, positive attributes, independence of Directors etc. pursuant to Section 178(3) of the Companies Act, 2013 is as follows:

The Company considers human resources as its invaluable assets. The policy of the company on nomination and remuneration of Directors, Key Managerial Personnel (KMPs) and other employees has been formulated in terms of Section 178, Section 197 and other applicable provisions of the Companies Act, 2013 and the listing agreement in order to pay equitable remuneration to the Directors, KMPs and employees of the Company and to harmonize the aspirations of human resources consistent with the goals of the Company.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Remuneration payable to Directors of the Company are as per the limits as contained in the provisions of Section 197 read with Schedule V of the Companies Act, 2013.

The Remuneration Policy of the Company stipulates the criteria for determining qualifications, competencies, positive attributes and independence for appointment of a Director (Executive /Non-Executive) and provides the Board, information about the matters relating to the remuneration of the Directors, Key Managerial Personnel and other employees. This includes, reviewing and approving corporate goals and objectives relevant to the compensation of the Directors, Key Managerial Personnel and other employees and evaluating the performance of Directors, Key Managerial Personnel and other employees in light of those goals and objectives.

The Remuneration Policy of the company stipulates that:

- a) the composition of remuneration is such that it is reasonable and sufficient to attract, retain and motivate the directors of the quality required to run the company successfully.
- b) there is proper relationship between remuneration and performance.
- c) remuneration to Directors, Key Managerial Personnel and Senior Management involves a balance between fixed and incentive pay reflecting short and long term performance objective appropriate to the working of the company and its goals.

14. EXTRACT OF ANNUAL RETURN

The extract of Annual Return pursuant to the provisions of Section 92(3) of Companies Act, 2013 read with Rule 12(1) of the Companies (Management and Administration) Rules, 2014 in form MGT 9 is furnished in **Annexure D** and is attached to this Report.

15. DETAILS OF BOARD MEETINGS CONDUCTED DURING THE YEAR

During the Financial Year 2018-19, four meetings of the Board of Directors were held as per Section 173 of Companies Act, 2013 details of which are summarized below. The provisions of Companies Act, 2013 were adhered to while considering the time gap between two meetings.

Date of Meeting
30 th May, 2018
14 th August, 2018
13 th November, 2018
12 th February, 2019

16. DIRECTORS' RESPONSIBILITY STATEMENT

In accordance with the provisions of Section 134(5) of the Companies Act, 2013 the Board hereby submit its responsibility statement and confirms that:-

- (a) In the preparation of the annual accounts for the year ended 31st March, 2019, the applicable accounting standards had been followed along with proper explanation relating to material departures;
- (b) They have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;
- (c) They have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- (d) they have prepared the annual accounts on a going concern basis;
- (e) they have laid down internal financial controls to be followed by the company that are adequate and operating effectively; and
- (f) they have devised proper systems to ensure compliance with the provisions of all applicable laws and these are adequate and are operating effectively.

17. SUBSIDIARIES AND JOINT VENTURES COMPANIES

The Company does not have any Subsidiary and Joint venture Companies.

18. DEPOSITS

The Company has neither accepted nor renewed any deposits covered under the provisions of section 73 and Chapter V of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014 during the year.

19. DIRECTORS AND KEY MANAGERIAL PERSONNEL (KMP)

The composition of Board is in accordance with the requirements set forth by Section 149 of Companies Act, 2013. The Directors possess experience in various fields that encompass Medical and Health, Law, Banking, Accounting and Finance. The composition of Board of

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Directors consists of 5 Directors which is a perfect combination of One Executive and Four Non Executive directors. The Board consists of 2 Independent Directors. No changes in the constitution of Board / KMPs during the financial year. The status of Board of Directors/ KMPs as on 31.03.2019 is as follows:

S.No	Name	Designation / Change in Designation	Category	Date of appointment - Date of Change in Designation	Date of Cessation & Mode of Cessation
1.	Karan Sharma	Director	Non-Executive	01/04/2007	N.A.
2.	Shailendra Kumar Sharma	Managing Director	Executive	16/11/1989-14/08/2015	N.A.
3.	Maya Sharma	Director	Non-Executive	18/09/2015	N.A.
4.	Madhur Krishna Khaitan	Independent Director	Non-Executive Independent	14/07/2011-18/09/2015	N.A.
5.	Subhash Chand Jain	Independent Director	Non-Executive Independent	28/04/1990-18/09/2015	N.A.
6.	Vimal Kumar Joshi	Chief Financial Officer	N.A.	14/08/2014	N.A.
7.	Shiv Shankar Sharma	Company Secretary	N.A.	18/03/2016	N.A.

None of the Directors of the Company is disqualified from being appointed as Directors.

20. DECLARATION BY INDEPENDENT DIRECTORS

The Independent Directors have submitted their declaration to the Board that they fulfil all the requirements as stipulated in Section 149(6) of the Companies Act, 2013.

21. AUDITORS:-

21.1 Statutory Auditors

M/s Amit Goyal & Co., Chartered Accountants, Jaipur were re-appointed as Statutory Auditors in the 29th Annual General Meeting held on 28th September, 2018 till the conclusion of 34th Annual General Meeting to be held in the year 2023, to audit the accounts of the Company, including the audit of Cash Flow Statements, at such a remuneration as may be mutually agreed between the Board of Directors of the Company and the Auditors.

21.2 Cost Auditor

Pursuant to Section 148 of the Companies Act, 2013 read with rules made there under the maintenance of cost audit records is not applicable to the company.

21.3 Secretarial Auditors

The Company has appointed Secretarial Auditors to conduct the secretarial audit for the Financial Year ended 31.03.2019 according to the provisions of section 204 of the Companies Act, 2013 read with Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

22. COMMITTEES OF THE BOARD

Details of the Committees of the Board of Directors of the Company is as under:-

a) Audit Committee

The constitution of audit committee is in confirmation with the requirements of Section 177 of the Companies Act, 2013. At present, the Audit Committee of the Company consists of 3 Directors, out of which 2 directors are Independent (Details of the same are summarized below). The Committee is chaired by Mr. Madhur Krishna Khaitan, an Independent Director. All the members of the audit committee are financially literate and are able to read and understand the financial statements.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Madhur Krishna Khaitan	Independent Director	Chairman
2.	Maya Sharma	Non-Executive Director	Member
3.	Subhash Chand Jain	Independent Director	Member

b) Nomination & Remuneration Committee

The constitution of Nomination & Remuneration Committee is in confirmation with the requirements of Section 178 of the Companies Act, 2013. At present, the Nomination & Remuneration Committee of the Company consists of 3 Directors, out of which 2 directors are Independent (Details of the same are summarized below). The Committee is chaired by Mr. Madhur Krishna Khaitan, an Independent Director.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Madhur Krishna Khaitan	Independent Director	Chairman
2.	Maya Sharma	Non-Executive Director	Member
3.	Subhash Chand Jain	Independent Director	Member

c) Stakeholders Relationship Committee

The constitution of Stakeholders Relationship Committee is in confirmation with the requirements of Section 178 of the Companies Act, 2013. At present, the Stakeholders Relationship Committee of the Company consists of 3 Directors (Details of the same are summarized below). The Committee is chaired by Dr. Karan Sharma, a Non-Executive Director.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Karan Sharma	Non-Executive Director	Chairman
2.	Subhash Chand Jain	Independent Director	Member
3.	Madhur Krishna Khaitan	Independent Director	Member

d) Share Transfer Committee

The Share Transfer Committee has been constituted to oversee the matters related with transfer of shares of the company so as to avoid delay in Share Transfer Process and to expeditiously resolve the issues related with share transfers. At present, the Share Transfer Committee of the Company consists of 3 Directors (Details of the same are summarized below). The Committee is chaired by Dr. Karan Sharma, a Non-Executive Director.

S.No.	Name of Members of Committee	Nature of Directorship	Designation
1.	Karan Sharma	Non-Executive Director	Chairman
2.	Subhash Chand Jain	Independent Director	Member
3.	Shailendra Kumar Sharma	Managing Director	Member

23. VIGIL MECHANISM

Pursuant to the provisions of Section 177(9) & (10) of the Companies Act, 2013 the Company has established a vigil mechanism for directors and employees to report genuine concerns. The Vigil Mechanism provides adequate safeguards against victimization of employees and directors who express their concerns.

The Mechanism provides direct access to the chairman of the Audit Committee. The Vigil Mechanism Policy has been uploaded on the website of the Company at www.jaipurhospital.co.in

24. SHARES

- a) **BUY BACK OF SHARES**
During the year under review Company has not dealt with buy back proposal.
- b) **SWEAT EQUITY**
During the year under review the Company has not issued any Sweat Equity Shares.
- c) **BONUS SHARES**
During the year under review no Bonus Shares were issued.
- d) **EMPLOYEES STOCK OPTION PLAN**
The Company has not provided any Stock Option Scheme to the employees during the year.
- e) **SHARE CAPITAL**
The paid up Equity Share Capital as on March 31, 2019 was Rs. 3,28,38,000. During the year under review, the Company has not issued shares with differential voting rights.

25. MANAGEMENT DISCUSSION AND ANALYSIS REPORT

As required under Regulation 34 (1) (e) of SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015, Management Discussion and Analysis report is enclosed to this report.

26. CORPORATE GOVERNANCE REPORT

The Company does not fulfill the criteria as specified under sub regulation (2) of regulation 15 of Chapter IV of SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015 ("The Regulations, 2015") with respect to applicability of Corporate Governance provisions mentioned in regulations 17 to 27 and clauses (b) to (i) of sub regulation (2) of regulation 46 and paras C, D and E of Schedule V of the Regulations, 2015. Therefore the Corporate Governance Report pursuant to sub regulation (3) of regulation 34 and Schedule V of the Regulations, 2015 need not be attached to this report.

27. ANNUAL EVALUATION OF THE PERFORMANCE OF THE BOARD AND COMMITTEES

The performance of the Board of Directors and Committees of the company are evaluated on the basis of fulfillment of short term and long term objectives of the company. Besides this, other qualitative and quantitative factors are also considered the basis of evaluation of the Board of Directors and Committees.

28. ADEQUACY OF INTERNAL FINANCIAL CONTROLS

The company has adequate Internal Financial Controls with reference to the Financial Statements. Details of the same are provided in Management Discussion and Analysis Report.

The Company has adequate system of internal control to safeguard and protect from loss, unauthorized use or disposition of its assets.

All the transactions are properly authorized, recorded and reported to the Management. The Company is following all the applicable Accounting Standards for properly maintaining the books of accounts and reporting financial statements.

29. CHANGE IN NATURE OF BUSINESS

There is no change in the nature of business of the company during the financial year.

30. SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS

There are no significant material orders passed by the Regulators / Courts which would impact the going concern status of the Company and its future operations.

31. INDIAN ACCOUNTING STANDARDS

The Audited Financial Statements prepared by the Company, in accordance with the Indian Accounting Standards (Ind AS), are provided in the Annual Report of the Company.

32. TRANSFER OF UNCLAIMED DIVIDEND TO INVESTOR EDUCATION AND PROTECTION FUND (IEPF).

No amount is required to be transferred under the provisions of Section 125(2) of the Companies Act, 2013 as there was no dividend declared and paid in last years.

33. INSIDER TRADING PREVENTION CODE

Pursuant to the SEBI Insider Trading Code, the company has formulated a comprehensive policy for prohibition of Insider Trading in Equity Shares to preserve the confidentiality and to prevent misuse of unpublished price sensitive information. The Company Secretary has been designated as the Compliance Officer in this regard.

34. PREVENTION OF SEXUAL HARASSMENT AT WORKPLACE

The Company has zero tolerance towards sexual harassment at the workplace and has adopted a policy on prevention, prohibition and redressal of sexual harassment at workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the Rules made thereunder. As required under law, an Internal

Complaints Committee has been constituted for reporting and conducting inquiry into the complaints made by the victim on the harassment at the work place.

The following is a summary of Sexual Harassment Complaints received and disposed off during the financial year 2018-19:

- a. Number of Complaints pending at the beginning of the year : NIL
- b. Number of Complaints of Sexual Harassment received during the year : NIL
- c. Number of Complaints disposed off during the year : NA
- d. Number of cases pending for more than ninety days : NIL
- e. Number of workshops or awareness programme against Sexual Harassment carried out: Five
- f. Nature of action taken by the Company : NA
- g. Number of Complaints pending at the end of the year : NIL

35. DEMAT SUSPENSE/UNCLAIMED SUSPENSE ACCOUNT

The disclosure requirements with respect to Demat Suspense/Unclaimed Suspense Account are not applicable to the Company as there are no shares in the Demat Suspense/Unclaimed Suspense Account.

36. COMPLIANCE OF SECRETARIAL STANDARDS

The Directors have devised proper systems to ensure compliance with the provisions of all applicable Secretarial Standards and that such systems are adequate and operating effectively.

37. DISCLOSURE PURSUANT TO CLAUSE (ix) OF SUB-RULE (5) OF RULE 8 OF THE COMPANIES (ACCOUNTS) RULES, 2014

The maintenance of cost records as specified by the Central Government under sub-section (1) of section 148 of the Companies Act, 2013 and maintenance of Accounts and records thereunder are not applicable to the company.

38. DISCLOSURE PURSUANT TO SUB - SECTION (12) OF SECTION 143 OF THE COMPANIES ACT, 2013 READ WITH SUB-RULE (4) OF RULE 13 OF THE COMPANIES (AUDIT AND AUDITORS) RULES, 2014

There has been no frauds reported by Statutory Auditors under sub-section (12) of section 143 of the Companies Act, 2013.

39. DISCLOSURE PURSUANT TO SECTION 204 & SUB - SECTION (12) OF SECTION 143 OF THE COMPANIES ACT, 2013 READ WITH SUB-RULE (5) OF RULE 13 OF THE COMPANIES (AUDIT AND AUDITORS) RULES, 2014

There has been no fraud reported by Secretarial Auditors under section 204 of the Companies Act, 2013.

40. LISTING ON STOCK EXCHANGE

The Company's shares are listed at BSE Limited.

41. ACKNOWLEDGEMENT

The Board expresses their grateful thanks for the assistance and co-operation extended by Punjab National Bank & other Banks, various departments of State & Central Government and other Associations.

Your Directors wish to convey their gratitude and appreciation to all employees of the Company for their valuable contribution during the year. They also wish to place on record their appreciation to the Company's Customers, Investors, Shareholders, Bankers, Suppliers, Distributors and other business associates for their cooperation and support.

Last but not the least, Directors wish to place on records their deep sense of appreciation for the devoted services of Consultant Doctors and entire Nursing & Para-medical Staff at all levels of the Company for its growth.

BY THE ORDER OF THE BOARD

Jaipur
August 08, 2019

Sd/-
(Maya Sharma)
DIRECTOR
DIN 00432496

Sd/-
(Shailendra Kumar Sharma)
MANAGING DIRECTOR
DIN 00432070

ANNEXURE-A

FORM NO. AOC -2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Companies Act, 2013 and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for Disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub section (1) of section 188 of the Companies Act, 2013 including certain arms length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at Arm's Length Basis.

SL. No.	Particulars	Details
A	Name (s) of the related party & nature of relationship	NIL
B	Nature of contracts/arrangements/transactions	NIL
C	Duration of the contracts/arrangements/transactions	NIL
D	Salient terms of the contracts or arrangements or transactions including the value	NIL
E	Justification for entering into such contracts or arrangements or transactions	NIL
F	Date (s) of approval by the Board	NIL
G	Amount paid as advances	NIL
H	Date on which the special resolution was passed in General meeting as required under first proviso to section 188	NIL

2. Details of material contracts or arrangements or transactions at Arm's Length Basis.

SL. No.	Particulars	Details
A	Name (s) of the related party and nature of relationship	NIL
B	Nature of the contracts/ arrangements/ transactions	NIL
C	Duration of the contracts/ arrangements/ transactions	NIL
D	Salient terms of the contracts or arrangements or transactions including the value	NIL
E	Date (s) of approval by the Board	NIL
F	Amount paid as advances	NIL

BY THE ORDER OF THE BOARD

Jaipur
August 08, 2019

Sd/-
(Maya Sharma)
DIRECTOR
DIN 00432496

Sd/-
(Shailendra Kumar Sharma)
MANAGING DIRECTOR
DIN 00432070

ANNEXURE- B

Form MR-3

SECRETARIAL AUDIT REPORT

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]
FOR THE FINANCIAL YEAR ENDED 31.03.2019

To,
The Members,
Sharma East India Hospitals & Medical Research Limited
Jaipur.

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Sharma East India Hospitals & Medical Research Limited** (hereinafter called as "the company"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the company has, during the audit period covering the financial year commencing from 01.04.2018 and ended on 31.03.2019, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

1. We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31.03.2019 according to the provisions of:
 - (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
 - (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
 - (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
 - (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; (**Not Applicable**)
 - (v) The Securities and Exchange Board of India Act, 1992 ('SEBI Act') along with SEBI (Listing Obligations and Disclosure Requirements) Regulations as amended from time to time and the following Regulations and Guidelines prescribed there under:-

- (a) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and amendments there under;
 - (b) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
 - (c) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015; **(Not Applicable)**
 - (d) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009; **(Not Applicable for the F.Y. ended 31st March, 2019.)**
 - (e) The Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014; **(Not Applicable)**
 - (f) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2015; **(Not Applicable)**
 - (g) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; **(Not Applicable)**
 - (h) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; **(Not Applicable)** and
 - (i) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998; **(Not Applicable)**
2. We have also examined compliance with the applicable clauses of the following:
 - (i) Secretarial Standards issued by The Institute of Company Secretaries of India under the provisions of the Companies Act, 2013.
 - (ii) The Listing Agreement entered into by the Company with BSE Limited.
 3. During the financial year under review the Company has duly complied with the provisions of the Act, Rules Regulations, Guidelines, Standards, etc. mentioned above. We have relied on the information and representation made by the company and its officers for systems and mechanism formed by the company for compliances under other applicable Acts, Laws and Regulations.
 4. We further report that:
 - (i) The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.
 - (ii) Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

- for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.
- (iii) Majority decision is carried through while the dissenting members' views are captured and recorded as part of the minutes.
5. We further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

Jaipur
August 08, 2019

For R Jat & Associates
Company Secretaries
Sd/-
(Ramswaroop Jat)
Proprietor
ACS No. 43143
CP No. 15983

ANNEXURE – C

The information required pursuant to Section 197 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 in respect of Directors and Key Managerial Personnel of the Company is as follows:-

S. No	Name	Designation	Remuneration paid 2018-19 (Amt. in Rupees)	Remuneration paid 2017-18 (Amt. in Rupees)	Ratio/Times of Remuneration paid 2018-19 to Median Employee Remuneration	% Increase in remuneration from previous year
1	Dr. Shailendra Kumar Sharma	Managing Director	24,00,000	24,00,000	19.08	-
2	Dr. Karan Sharma	Director	-	-	-	-
3	Mrs. Maya Sharma	Director	-	-	-	-
4	Mr. Madhur Krishna Khaitan	Director	-	-	-	-
5	Mr. Subhash Chand Jain	Director	-	-	-	-
6	Mr. Vimal Kumar Joshi	Chief Financial Officer	5,00,974	5,22,023	3.98	-
7	Mr. Shiv Shankar Sharma	Company Secretary	2,59,971	2,52,600	2.07	2.92

The median employee remuneration during the financial year 2018-19: Rs. 1,25,767

The median employee remuneration during the financial year 2017-18: Rs. 1,15,087

Percentage increase in the median remuneration of employees: 9.28%

The number of permanent employees on the rolls of the company as on March 31, 2019 and March 31, 2018 was 159 and 172 respectively.

The Company's variable compensation philosophy for its managerial personnel is to ensure its competency in the global markets in which it operates, for attracting and retaining the best talent.

During the Financial year ended on March 31, 2019 no employee received remuneration in excess of the highest paid director.

The remuneration paid is as per the remuneration policy of the company.

Remuneration policy of the company is based on the recommendation of the Nomination and Remuneration Committee.

Pursuant to Rule 5 of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, there are no employees in the company who were in receipt of remuneration in excess of limits specified in the said rule. Hence disclosures required under this rule are not applicable.

BY THE ORDER OF THE BOARD

Sd/-

(Maya Sharma)
DIRECTOR
DIN 00432496

Sd/-

(Shailendra Kumar Sharma)
MANAGING DIRECTOR
DIN 00432070

Jaipur
August 08, 2019

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

ANNEXURE – D

Form No. MGT-9

EXTRACT OF ANNUAL RETURN

as on the financial year ended on 31ST March, 2019

[Pursuant to Section 92(3) of the Companies Act, 2013 and Rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

I	CIN	:	L85110RJ1989PLC005206
II	Registration Date	:	16/11/1989
III	Name of the Company	:	Sharma East India Hospitals and Medical Research Ltd.
IV	Category / Sub-Category of the Company	:	Company Limited by Shares, Indian Public Non Government Co.
V	Address of the Registered office and contact details	:	Jaipur Hospital, Near SMS Stadium, Lal Kothi, Tonk Road, Jaipur-302015 (Rajasthan) Phone: 0141-2742557, 2742619 Email:- sharmaeastindia@gmail.com Website:- www.jaipurhospital.co.in
VI	Whether listed company	:	Yes (Listed at BSE Ltd.)
VII	Name, Address and Contact details of Registrar and Transfer Agent, if any	:	M/s. Beetal Financial & Computer Services (P) Ltd. Beetal House, 3 rd Floor, 99, Madangir, Behind Local Shopping Centre, Near Dada Harsukhdas Mandir, New Delhi-110062 Phone:- 011-2996 1281-83 Email:- beetalrta@gmail.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY*

All the business activities contributing 10 % or more of the total turnover of the company are stated:-

Sl. No.	Name and Description of main products / services	NIC Code of the Product/ service	% to total turnover of the company
1	Hospital Activities	86100	100%

*The Company has entered into a joint development agreement for development of land. The Company also has revenue generation from sale of flats developed on said land and advance received against such sale but the principal business activity of the Company is Hospital activity only.

III. PARTICULARS OF HOLDING AND SUBSIDIARY COMPANIES:

S. NO	NAME AND ADDRESS OF THE COMPANY	CIN/GLN	HOLDING/ SUBSIDIARY /ASSOCIATE	% of shares held	Applicable Section
NIL					

IV. SHAREHOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

(i) CATEGORY-WISE SHARE HOLDING

Category of Shareholders	No. of Shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A.Promoters									
(1) Indian									
a) Individual/HUF	0	756200	756200	23.03	0	756200	756200	23.03	0
b) Central Govt.	0	0	0	0	0	0	0	0	0
c) State Govt.	0	0	0	0	0	0	0	0	0
d) Bodies Corporate	0	1005000	1005000	30.60	0	1005000	1005000	30.60	0
e) Bank/FI	0	0	0	0	0	0	0	0	0
f) Any other	0	0	0	0	0	0	0	0	0
SUB TOTAL : (A)(1)	0	1761200	1761200	53.63	0	1761200	1761200	53.63	0
(2) Foreign									
a) NRI-Individuals	0	0	0	0	0	0	0	0	0
b)Other Individuals	0	0	0	0	0	0	0	0	0
c)Bodies Corp.	0	0	0	0	0	0	0	0	0
d)Banks/FI	0	0	0	0	0	0	0	0	0
e)Any other	0	0	0	0	0	0	0	0	0
SUB TOTAL : (A)(2)	0	0	0	0	0	0	0	0	0
Total Shareholding of Promoter (A) = (A)(1)+(A)(2)	0	1761200	1761200	53.63	0	1761200	1761200	53.63	0
B. PUBLIC SHAREHOLDINGS									
(1) Institutions									
a) Mutual Funds	0	0	0	0	0	0	0	0	0
b) Banks/FI	0	0	0	0	0	0	0	0	0
c) Central Govt.	0	0	0	0	0	0	0	0	0

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d) State Govt.	0	0	0	0	0	0	0	0	0
e) Venture capital Fund	0	0	0	0	0	0	0	0	0
f) Insurance Companies	0	0	0	0	0	0	0	0	0
g) FIIs	0	0	0	0	0	0	0	0	0
h) Foreign Venture Capital Funds	0	0	0	0	0	0	0	0	0
i) Others	0	0	0	0	0	0	0	0	0
SUB TOTAL (B) (1):	0	0	0	0	0	0	0	0	0
(2) Non Institutions									
a) Bodies Corporate									
i) Indian	400	421900	422300	12.86	400	421900	422300	12.86	0
ii) Overseas	0	0	0	0	0	0	0	0	0
b) Individuals									
i) Individual Shareholders holding nominal share capital upto Rs. 1 Lakhs	31800	722600	754400	22.97	37800	716600	754400	22.97	0
ii) Individual Shareholders holding nominal share capital in excess of Rs. 1 Lakhs	0	345900	345900	10.54	0	345900	345900	10.54	0
c) Any Other	0	0	0	0	0	0	0	0	0
SUB TOTAL (B) (2):	32200	1490400	1522600	46.37	38200	1484400	1522600	46.37	0
Total Public Shareholding (B) = (B)(1)+(B)(2)	32200	1490400	1522600	46.37	38200	1484400	1522600	46.37	0
C. Shares held by Custodian for GDRs & ADRs	0	0	0	0	0	0	0	0	0
Grand Total (A+B+C)	32200	3251600	3283800	100	38200	3245600	3283800	100	0

(ii) SHAREHOLDING OF PROMOTERS

S. No.	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% Change in share holding during the year
		No of Shares	% of total shares of the company	% of Shares pledged/ encumbered to total shares	No of Shares	% of total shares of the company	% of Shares pledged/ encumbered to total shares	
1	Shailendra Kumar Sharma	412200	12.55	0	412200	12.55	0	0
2	Pradeep Sharma	23200	0.70	0	23200	0.70	0	0
3	Rajesh Sharma	40000	1.21	0	40000	1.21	0	0
4	Jayshree Sharma	58000	1.77	0	58000	1.77	0	0
5	Brijmohan Sharma	62000	1.89	0	62000	1.89	0	0
6	Maya Sharma	160800	4.90	0	160800	4.90	0	0
7	Sharma Nursing Home & Bone Hospital Private Limited	183900	5.60	0	183900	5.60	0	0
8	Kshitij Enterprises (P) Limited	150700	4.59	0	150700	4.59	0	0
9	Sharma Hospitals Private Limited	670400	20.42	0	670400	20.42	0	0
	Total	1761200	53.63	0	1761200	53.63	0	0

(iii) CHANGE IN PROMOTERS' SHAREHOLDING

S. No.	Particulars	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No of Shares	% of Total Shares of the Company	No of Shares	% of Total Shares of the Company
1	At the beginning of the year	No changes in Promoters Shareholding during the year			
2	Date wise Increase / Decrease in Promoters Shareholding during the year specifying the reasons for increase / decrease (e.g. allotment / transfer / bonus/ sweat equity etc.)	No changes in Promoters Shareholding during the year			
3	At the End of the year	No changes in Promoters Shareholding during the year			

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

(iv) Shareholding Pattern of top ten Shareholders

(Other than Directors, Promoters and Holders of GDRs and ADRs):

S. No	For Each of the Top 10 Shareholders	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Ganpati Plast Fab Ltd. At the Beginning of the year At the end of the Year	2,90,900 2,90,900	8.86 8.86	2,90,900 2,90,900	8.86 8.86
2	T.C.I. Bhoruka Project Ltd At the Beginning of the year At the end of the Year	1,00,000 1,00,000	3.05 3.05	1,00,000 1,00,000	3.05 3.05
3	Madhulika Sharma At the Beginning of the year At the end of the Year	83,800 83,800	2.55 2.55	83,800 83,800	2.55 2.55
4	Manisha Agarwal At the Beginning of the year At the end of the Year	60,000 60,000	1.83 1.83	60,000 60,000	1.83 1.83
5	Lata Sharma At the Beginning of the year At the end of the Year	40,000 40,000	1.22 1.22	40,000 40,000	1.22 1.22
6	Ashok Kumar Jain At the Beginning of the year At the end of the Year	35,500 35,500	1.08 1.08	35,500 35,500	1.08 1.08
7	B.L. Son. Fin. & Leas.P (Ltd) At the Beginning of the year At the end of the Year	29,500 29,500	0.90 0.90	29,500 29,500	0.90 0.90
8	Tarun Sethia At the Beginning of the year At the end of the Year	22,000 22,000	0.67 0.67	22,000 22,000	0.67 0.67
9	Vimala Rai At the Beginning of the year At the end of the Year	17,100 17,100	0.52 0.52	17,100 17,100	0.52 0.52
10	Mamta Jain At the Beginning of the year At the end of the Year	16,000 16,000	0.49 0.49	16,000 16,000	0.49 0.49

(v) Shareholding of Directors and Key Managerial Personnel:

S. No.	For Each of the Directors and KMP	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
	Shareholding of Directors				
1	Dr. Karan Sharma At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL
2	Smt. Maya Sharma At the Beginning of the year At the end of the Year	1,60,800 1,60,800	4.90 4.90	1,60,800 1,60,800	4.90 4.90
3	Shri Subhash Chand Jain At the Beginning of the year At the end of the Year	35,500 35,500	1.08 1.08	35,500 35,500	1.08 1.08
4	Shri Madhur Krishna Khaitan At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL
Shareholding of Key Managerial Personnel					
5	Dr. Shailendra Kumar Sharma At the Beginning of the year At the end of the Year	412200 412200	12.55 12.55	412200 412200	12.55 12.55
6	Mr. Vimal Kumar Joshi At the Beginning of the year At the end of the Year	200 200	0.006 0.006	200 200	0.006 0.006
7	Mr. Shiv Shankar Sharma At the Beginning of the year At the end of the Year	NIL NIL	NIL NIL	NIL NIL	NIL NIL

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but not due for payment
(Amount in Rs.)

Particulars	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	5,28,98,784	-	-	5,28,98,784
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	5,28,98,784	-	-	5,28,98,784
Change in Indebtedness during the financial year				
• Addition	5,55,44,005	-	-	5,55,44,005
• Reduction	-	-	-	-
Net Change	5,55,44,005	-	-	5,55,44,005
Indebtedness at the end of the financial year				
i) Principal Amount	10,84,42,789	-	-	10,84,42,789
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	-	-	-	-
Total (i+ii+iii)	10,84,42,789	-	-	10,84,42,789

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

(Amount in Rs.)

S. No.	Particulars of Remuneration	Name of Managing Director	Total Amount
		Dr. Shailendra Kumar Sharma	
1	Managerial Remuneration for directorship	24,00,000	24,00,000
2	Stock Option	-	-
3	Sweat Equity	-	-
4	Commission		
	- As % of Profit	-	-
	- Others	-	-
5	Others	-	-
	Total (A)	24,00,000	24,00,000

B. Remuneration to other directors:
(Amount in Rs.)

S. No	Particulars of Remuneration	Name of Directors				Total Amount
		Dr. Karan Sharma	Mrs. Maya Sharma	Mr. Subhash Chand Jain	Mr. Madhur Krishna Khaitan	
		Non-Executive	Non-Executive	Non-Executive Independent	Non-Executive Independent	
1	Independent Directors					
	• Fee for attending board committee meetings	-	-	-	-	-
	• Commission	-	-	-	-	-
	• Others	-	-	-	-	-
	Total (1)	-	-	-	-	-
2	Other Non-Executive Directors					
	• Fee for attending board committee meetings	-	-	-	-	-
	• Commission	-	-	-	-	-
	• Others	-	-	-	-	-
	Total (2)	-	-	-	-	-
	Total (B) = (1+2)	-	-	-	-	-

C. Remuneration to Key Managerial Personnel other than MD/Manager/WTD (Amt. In Rs.)

S. No.	Particulars of Remuneration	Name of Key Managerial Personnel		Total Amount
		Mr. Vimal Kumar Joshi Chief Financial Officer	Mr. Shiv Shankar Sharma Company Secretary	
1	Gross salary			
	(a) Salary as per provisions contained in section 17 (1) of the Income-tax Act, 1961	5,00,974	2,59,971	7,60,945
	(b) Value of perquisites u/s 17(2) of Income-tax Act, 1961	-	-	-
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961	-	-	-
2	Stock Option	-	-	-
3	Sweat Equity	-	-	-
4	Commission	-	-	-
	- As % of Profit			
	- Others			
5	Others	-	-	-
	Total (C)	5,00,974	2,59,971	7,60,945

VII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES:

Type	Section of the Companies Act	Brief Description	Details of Penalty/ Punishment/ Compounding fees imposed	Authority (RD/ NCLT/ Court)	Appeal made if any
A. COMPANY					
Penalty Punishment Compounding			NIL		
B. DIRECTORS					
Penalty Punishment Compounding			NIL		
C. OTHER OFFICERS IN DEFAULT					
Penalty Punishment Compounding			NIL		

BY THE ORDER OF THE BOARD

Jaipur
August 08, 2019

Sd/-
(Maya Sharma)
DIRECTOR
DIN 00432496

Sd/-
(Shailendra Kumar Sharma)
MANAGING DIRECTOR
DIN 00432070

MANAGEMENT DISCUSSION & ANALYSIS REPORT

Overview

The Company is a Public Limited Company incorporated in India having its registered office in Jaipur, Rajasthan. The Company is listed at BSE Ltd. The Company is primarily engaged in providing medical and healthcare services. The Financial statements of the company are prepared in accordance with IND AS.

Industry Structure and Developments

The company is predominantly engaged in service activities related with the Medical & Health Sciences. The demand for sophisticated modern healthcare facilities is expanding very fast. With the ever expansive field of Medical Science and research the cult of health consciousness is spreading rapidly.

The company aims at providing wide range of medical services in the field of Health Industry. The objective is to offer best quality services to its customers at low costs and to achieve health growth and profitability. Your Company is committed to achieve its objective while ensuring high levels of ethical standards, professional integrity and regulatory compliances.

Opportunities & Threats

The hospital is providing various Medical and Healthcare services. Especially, the hospital is providing the service of Replacement surgery through the use of new and advance implant. The company is first in the state of Rajasthan which performed 'Replacement Surgery'. Our specially designed state of Art operation theatre is first of its kind in Rajasthan. This theatre has total body exhaust system and 'Antistatic' flooring which makes it totally sterile. That's why the company became successful in getting reorganization from many reputed Govt. Bodies/Corporations/Banks and other private enterprises for the purpose of reimbursement of medical claims of their employees being treated at the hospital.

The threats are increasing competition in health industry and increase in power tariff under the cost, huge price discrimination and low per capital expenditure

Outlook, Risks & Concerns

The company is cautiously optimistic about its prospects in the coming years. The Company aims at providing high quality services and treatments to the patients and to provide them with greater satisfaction. For last couple of years the company has taken a number of initiatives to re-structure and re-engineer the operation to enable the company to compete better in this profound competitive regime.

There are no major risks and concerns except the technology up gradation and increasing power tariff and growing competition. The company is guarding itself against these risks by laying down appropriate strategy which is to be supplemented by business plans and review mechanisms.

Internal Control systems and their Adequacy

The Internal Controls are constantly upgraded based on internal audits and audit committee's recommendations as also the perceived need to automate controls due to the increasing

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

complexity of operations. These have been designed to provide reasonable assurance with regard to maintaining proper accounting controls, monitoring economy in cost and efficiency of operations, proper recording and safeguarding of assets from unauthorized use or losses for maintaining proper accounting records and reliability of financial Information. Internal Controls relating to the Financial Reporting are being closely monitored and related systems and processes are being refined based on the recommendations from the audit Committee and statutory Auditors. The Internal Audit programme focuses on operational and systems audit aiming at up gradation of controls to meet changing times and complex operating environment.

Discussion on financial performance with respect to operational performance.

	(Amt. in Rs. Lakhs)	
Financial Summary / Highlights	2018-19	2017-18
Total Income	1583.64	1607.14
Profit before Interest, Dep. & Tax	174.48	153.20
Finance Cost	87.97	73.26
Depreciation	52.12	61.92
Profit before Tax	34.39	18.02
Profit After Tax	26.59	13.19
Other Comprehensive Income (Net of Tax)	1.06	-
Total Comprehensive Income	27.65	13.19
Earnings per share (In Rs.)	0.84	0.40

Material Developments in Human Resources Development/ Industrial Relations Front

The Company believes that employees are not the man power but they are resource for the Company. Employees can make the difference and it has been the company's continuous endeavor to make it one of the best places to work in. Your company's human resource philosophy is to establish and build a strong and performance driven culture with greater accountability and responsibility at all levels. To that extent the company views capability, combination of right people on the right jobs, supported by the right process, systems, structure and metrics.

Company's Human Resources (HR) systems are focused towards developing wider perspectives in employees achieving organizational excellence and enhancing their contribution to meet organizational goals. The Company recognizes the need for continuous growth and development to its employees in order to provide greater job satisfaction and also to equip them to meet growing organizational challenges. Specific Human Resources efforts were undertaken during the year to strengthen Human Resources System and practices.

We are in the services industry. As such human resources become one of the most important resources and needs to be carefully nurtured. The management team of the Company is comprised of professional and marketing personnel.

The employee relationship continues to be cordial and the company received full co-operation from employees at all levels. In our Company, measures for training, development, safety of the employees and environmental awareness received top priority of the management.

Accounting Treatment

In the preparation of Financial Statements of the company, the accounting treatment under Indian Accounting Standards (IND AS) is followed.

Cautionary Statement

Statement in this Report, particularly those which relate to Management Discussion and Analysis, describing the Company's objectives, protections, estimates and expectations may constitute "forward looking statement" within the meaning of applicable laws and regulations. Actual results might differ materially from those either.

BY THE ORDER OF THE BOARD

Jaipur
August 08, 2019

Sd/-
(Maya Sharma)
DIRECTOR
DIN 00432496

Sd/-
(Shailendra Kumar Sharma)
MANAGING DIRECTOR
DIN 00432070

INDEPENDENT AUDITOR'S REPORT

To The Members of

M/s. Sharma East India Hospitals and Medical Research Limited

Report on the Audit of the standalone Financial Statements

Opinion

We have audited the Standalone financial statements of **M/s. Sharma East India Hospitals and Medical Research Limited** ("the Company") which comprise the Balance Sheet as at March 31, 2019 and the Statement of Profit and Loss (including other comprehensive income), statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2019, the profit and total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key Audit Matters are those matters that, in our professional judgment were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and is forming our opinion thereon and we do not provide a separate opinion on these matters.

Other Information

The Company's Management and Board of Directors are responsible for the preparation of other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard since, the other information comprising the above documents is expected to be issued by the management after the date of our audit report.

Management's Responsibility for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, total comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS and other accounting principles generally accepted in India, including the Indian Accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143 (3) (i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by the Companies (Auditor's Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure A statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

As required by Section 143(3) of the Act, we report that:

- a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- c. The Balance Sheet, the Statement of Profit and Loss including other comprehensive income, statement of changes in Equity and the statement of Cash Flows dealt with by this Report are in agreement with the books of accounts.
- d. In our opinion, the aforesaid standalone financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- e. On the basis of the written representations received from the directors as on 31st March, 2019 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2019 from being appointed as a director in terms of Section 164 (2) of the Act.
- f. With respect to the adequacy of the internal financial controls with reference to Ind AS financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B", and

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

g. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

1. The Company does not have any pending litigations which would impact its financial position in its Ind AS financial statements.
2. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
3. The Company has not declared any dividend in last few years, hence the requirement to transfer the amount to the Investor Education and Protection Fund (IEPF) is not applicable, and

With respect to the matter to be included in the Auditor's Report under section 197(16):

In our opinion and according to the information and according to the explanations given to us, the remuneration paid by the Company to its directors during the year is in accordance with the provisions of section 197 read with schedule V of the Act. The remuneration paid to any director is not in excess of the limit laid down under section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) which are required to be commented upon by us.

Jaipur
May 30, 2019

FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN 003778C
Sd/-
(Rajeev Kumar)
PARTNER
Membership No.075730

ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in our report of even date)

1.
 - a. The company has maintained proper records showing full particulars including quantitative details and situation of fixed assets.
 - b. All the fixed assets have been physically verified by the management at reasonable intervals and no material discrepancies were noticed on such verification.
 - c. According to information and explanation given to us and on the basis of our examination of the records of the company, the title deeds of immovable properties are held in the name of the Company.
2. The inventories have been physically verified at reasonable intervals by the management and no material discrepancies were noticed on such physical verification and they have been properly dealt with in the books of account.
3. As per the information given to us, the company has not granted any loans, secured or unsecured, to the companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under section 189 of the Companies Act 2013.
4. In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of section 185 and 186 of the Act, with respect to the loans, Investments, Guarantees and Security.
5. The company has not accepted any deposits during the year. Accordingly paragraph 3(v) of the Order is not applicable.
6. The Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Companies Act 2013.
7.
 - a. The company is generally regular in depositing statutory dues including provident fund, employees state insurance, income tax, goods and service tax (GST), duty of customs or duty of excise value added tax, cess and any other statutory dues with the appropriate authorities and according to information and explanation given to us there are no arrears of outstanding statutory dues as at the last day of the financial year under audit for a period of more than six months from the date they became payable.
 - b. According to the information and explanations given to us, no disputed amount is payable in respect of income tax or sales tax, goods and service tax (GST), or wealth tax or service tax or duty of customs or duty of excise or value added tax or cess as at March 31, 2019.

8. According to the information and explanations given to us, the Company has not defaulted in repayment of loans or borrowing to a financial institution, bank or Government or Debenture holders.
9. The Company did not raise any money by the way of initial public offer or further public offer (including debt instruments) and term loans during the year. Accordingly paragraph 3(ix) of the Order is not applicable.
10. According to the information and explanations given to us, no fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.
11. According to information and explanations given to us and on the basis of our examination of the records of company the Company has paid the managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V of the Companies Act, 2013.
12. In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly paragraph 3(xii) of the Order is not applicable.
13. According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the standalone Ind AS financial statements as required by the applicable accounting standards.
14. According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of Shares or fully or partly convertible debentures during the year under review.
15. The Company has not entered into any non-cash transactions with directors or persons connected with them. Accordingly paragraph 3(xv) of the Order is not applicable.
16. The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934.

FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN 003778C
Sd/-
(Rajeev Kumar)
PARTNER
Membership No.075730

Jaipur
May 30, 2019

ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in our report of even date)

Report on the Internal Financial Controls with reference to Ind AS Financial Statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

Opinion

We have audited the internal financial controls with reference to Ind AS Financial Statements of **M/s. SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LTD** ("the Company"), as of 31 March 2019 in conjunction with our audit of the Ind AS financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2019, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the 'Guidance Note').

Management's Responsibility for Internal Financial Controls with reference to Ind AS Financial Statements

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to Financial Statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to Ind AS Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, with reference to Financial Statements, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to Ind AS Financial Statements were established and maintained and if such controls operated effectively in all material respects.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to Ind AS Financial Statements and their operating effectiveness. Our audit of internal financial controls with reference to Ind AS Financial Statements included obtaining an understanding of internal financial controls with reference to Ind AS Financial Statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to Ind AS Financial Statements.

Meaning of Internal Financial Controls with reference to Ind AS Financial Statements

A company's internal financial control with reference to Ind AS Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to Ind AS Financial Statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the Ind AS financial statements.

Inherent Limitations of Internal Financial Controls with reference to Ind AS Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to Ind AS Financial Statements to future periods are subject to the risk that the internal financial controls with reference to Ind AS Financial Statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

**FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN 003778C**

Sd/-

(Rajeev Kumar)

PARTNER

Membership No.075730

**Jaipur
May 30, 2019**

FRN 003778C

BALANCE SHEET AS AT 31ST MARCH, 2019

Particulars	Note No.	(Amount in Rs. Lakhs)	
		As at 31st March 2019	As at 31st March 2018
I. ASSETS			
(1) Non-Current Assets			
(a) Property, Plant and Equipment	1	472.73	607.13
(b) Capital Work-in-Progress		35.30	0.57
(c) Financial Assets			
(i) Investments	2	180.03	178.85
(ii) Others	3	14.62	16.60
(d) Other Non Current Assets	4	2.66	14.53
Total Non- Current Assets		705.34	817.68
(2) Current Assets			
(a) Inventories	5	61.86	64.29
(b) Financial Assets			
(i) Trade Receivables	6	345.12	324.93
(ii) Cash and Cash Equivalents	7	513.56	17.23
(iii) Other Balances with Banks	7	1.12	1.10
(iv) Others	8	8.73	8.77
(c) Other Current Assets	9	577.70	395.26
Total Current Assets		1,508.09	811.58
Total Assets		2,213.43	1,629.26
II. EQUITY AND LIABILITIES			
(1) EQUITY			
(a) Equity Share Capital	10	415.75	415.75
(b) Other Equity	11	373.29	345.64
Total Equity		789.04	761.39
(2) LIABILITIES			
(A) Non-Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	12	55.76	81.35
(ii) Other Financial Liabilities	13	50.50	48.92
(b) Deferred Tax Liabilities (Net)	14	15.42	14.01
(c) Other Non Current Liabilities	15	6.50	12.12

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Total Non - current liabilities	128.18	156.40
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(Amount in Rs. Lakhs)

Particulars	Note No.	As at 31st March 2019	As at 31st March 2018
(B) Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	16	992.91	411.88
(ii) Trade Payables	17	103.88	92.55
(iii) Other Financial Liabilities	18	157.81	151.18
(b) Other Current Liabilities	19	34.99	50.03
(c) Provisions	20	6.62	5.83
Total Current liabilities		1,296.21	711.47
Total Equity and Liabilities		2,213.43	1,629.26

General Information and Significant Accounting Policies
Notes forming an integral part of Financial Statements

I&II
1-51

As per our report of even date attached

FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN: 003778C

FOR AND ON BEHALF OF SHARMA EAST INDIA
HOSPITALS AND MEDICAL RESEARCH LIMITED

Sd/-
(RAJEEV KUMAR)
PARTNER
M.NO:075730

Sd/-
(SHAIENDRA KUMAR SHARMA)
MANAGING DIRECTOR
DIN: 00432070

Sd/-
(MAYA SHARMA)
DIRECTOR
DIN: 00432496

Sd/-
JAIPUR
30.05.2019

(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER

Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY
M. NO. ACS-43106

STATEMENT OF PROFIT AND LOSS FOR THE PERIOD ENDED 31ST MARCH 2019

(Amount in Rs. Lakhs)

Particulars	Note No.	For the year ended 31st March 2019	For the year ended 31st March 2018
Revenue:			
Revenue From Operations	21	1,472.90	1,600.15
Other Income	22	110.74	6.99
Total Income		1,583.64	1,607.14
Expenses:			
Cost of Materials consumed and sold	23	209.55	238.07
Purchases of Stock-in-trade	24	11.43	0.83
Change in Inventories of Stock-in-trade	25	(1.30)	(0.55)
Employee Benefits Expenses	26	276.80	280.87
Finance Costs	27	87.97	73.26
Depreciation and Amortization Expenses	1	52.12	61.92
Other Expenses	28	912.68	934.72
Total Expenses		1,549.25	1,589.12
Profit Before Tax		34.39	18.02
Tax Expense:			
Current Tax		6.62	5.83
Adjustments of Taxes of Earlier Years		(0.10)	-
Deferred Tax		1.28	(1.00)
Profit for the year		26.59	13.19
Other Comprehensive Income:-			
Items that will not be reclassified to profit or loss			
Changes in fair value of investments in equity shares carried at fair value through OCI		1.18	-
Income tax relating to items that will not be reclassified to profit or loss		(0.12)	-

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Other Comprehensive Income for the year, net of tax	1.06	-
Total Comprehensive Income for the year (Comprising Profit and Other Comprehensive Income for the period)	27.65	13.19

Earnings Per Equity Share

Basic & Diluted	29	0.84	0.40
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General Information and Significant Accounting Policies I&II

Notes forming an integral part of Financial Statements 1-51

As per our report of even date attached

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STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31ST MARCH 2019

PARTICULARS	(Amount in Rs. Lakhs)	
	For the year ended March 31, 2019	For the year ended March 31, 2018
A. Cash Flow from Operating Activities		
Profit before tax	34.39	18.02
Adjustments to reconcile profit before tax to net cash flows:		
Depreciation and impairment of property, plant and equipment	52.12	61.92
(Gain)/Loss on disposal of property, plant and equipment	(98.30)	(0.41)
Interest income	(0.16)	(0.03)
Finance costs	81.12	66.86
Incremental Interest	1.23	2.34
Movements in provisions	0.78	0.22
Other adjustments to reconcile profit or loss	(7.21)	-
Operating Profit before working capital changes	63.97	148.92
Working Capital Changes:		
Increase/(Decrease) in non current liabilities	(5.27)	27.40
(Increase)/Decrease in trade and other receivables and prepayments	(20.18)	(93.00)
(Increase)/Decrease in other financial assets	2.00	35.19
(Increase)/Decrease in other current assets	(182.43)	165.83
(Increase)/Decrease in inventories	2.43	(2.60)
Increase/(Decrease) in other current financial liabilities	6.63	6.07
Increase/(Decrease) in other current liabilities	(15.04)	28.84
Increase/(Decrease) in trade and other payables	11.33	0.73
Cash Generated from Operations	(136.56)	317.38
Income tax paid	(6.52)	(5.83)
Net Cash from Operating Activities (A)	(143.08)	311.55
B. Cash Flow from Investing Activities		
Proceeds from sale of property, plant and equipment	222.07	2.00
Purchase of property, plant and equipment (including Capital Work in Progress)	(57.14)	(27.50)

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Interest received	0.16	0.03
Net Cash from / used in Investing Activities(B)	165.09	(25.47)
C. Cash Flow from Financing Activities		
Proceeds from / (Repayment of) Short Term Borrowings	581.03	(127.93)
Proceeds from / (Repayment of) Long Term Borrowings	(25.59)	(85.06)
Interest Paid	(81.12)	(66.86)
Net cash from / used in Financing Activities (C)	474.32	(279.85)
Net increase/(Decrease) in cash and cash equivalents(A+B+C)	496.33	6.23
Cash and cash equivalents at the beginning of the year	17.23	11.00
Cash and cash equivalents at the end of the year	513.56	17.23
Cash and Cash Equivalent includes:- (Refer Note No. 7)		
Cash in hand	10.44	13.99
Balance with Banks in current accounts	503.12	3.24
Total	513.56	17.23

Note: The above Statement of Cash Flows has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'.

As per our report of even date attached

FOR AMIT GOYAL & CO.
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(SHIV SHANKAR SHARMA)
COMPANY SECRETARY
M. NO. ACS-43106

JAIPUR
30.05.2019

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST MARCH, 2019
A. Equity Share Capital (Refer Note No. 10)
For the year ended 31st March 2019
(Amount in Rs. Lakhs)

Balance as at 31st March, 2018	Changes in equity share capital during the year	Balance as at 31st March, 2019
415.75	-	415.75

For the year ended 31st March 2018
(Amount in Rs. Lakhs)

Balance as at 31st March, 2017	Changes in equity share capital during the year	Balance as at 31st March 2018
415.75	-	415.75

B. Other Equity (Refer Note No. 11)
For the year ended 31st March 2019
(Amount in Rs. Lakhs)

Particulars	Reserve and surplus	Items of Other Comprehensive Income	Total
	Retained Earnings	Equity Instruments Through OCI	
Balance at the beginning of the reporting period	211.67	133.97	345.64
Profit for the period	26.59	-	26.59
Other comprehensive income	-	1.06	1.06
Balance at the end of the reporting period	238.26	135.03	373.29

For the year ended 31st March 2018
(Amount in Rs. Lakhs)

Particulars	Reserve and surplus	Items of Other Comprehensive Income	Total
	Retained Earnings	Equity Instruments Through OCI	
Balance at the beginning of the reporting period	198.48	133.97	332.45
Profit for the period	13.19	-	13.19
Other comprehensive income	-	-	-
Balance at the end of the reporting period	211.67	133.97	345.64

As per our report of even date attached
**FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN: 003778C**
**FOR AND ON BEHALF OF SHARMA EAST INDIA
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30.05.2019
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**Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY
M. NO. ACS-43106**

General Information and Significant Accounting Policies

I General Information

A Background

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED ("The Company") is a public limited company incorporated in India in 1989 having its registered office at Jaipur, Rajasthan. The company is listed at BSE Limited. The Company is primarily engaged in the business of providing medical and healthcare services and is running a multi-specialty hospital in the name and style of Jaipur Hospital at Lal Kothi, Jaipur, Rajasthan. The financial statements for the year ended March 31, 2019 are approved for issue by Company's board of directors on May 30, 2019.

B Statement of Compliance

These financial statements are prepared on accrual basis of accounting under historical cost convention and comply in all material aspects with the Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and subsequent amendments thereto, the Companies Act, 2013 (to the extent notified and applicable) and applicable provisions of the Companies Act, 1956, guidelines of Securities and Exchange Board of India (SEBI).

The presentation of the Financial Statements is based on Ind AS Schedule III of the Companies Act, 2013. Accounting policies have been consistently applied in the preparation of financial statements and for the presented figures, unless otherwise stated.

C Basis of preparation and presentation

The Company follows Mercantile System of Accounting and recognizes significant items of income and expenditure on accrual basis. The financial statements have been prepared on the historical cost basis except for certain financial assets measured at fair value. The accounting policies not specifically referred to otherwise, are consistent and in consonance with generally accepted accounting principles.

D Functional and Presentation currency

These financial statements are presented in Indian Rupees (INR), which is the Company's functional currency.

E Current and non-current classification

The Company presents assets and liabilities in the balance sheet based on current/non-current classification.

An asset is current when it is:

- Expected to be realized or intended to sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

II Significant accounting policies

The principal accounting policies applied in the preparation of the financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

A Property, Plant & Equipment

A.1 Initial recognition and measurement

Items of Property, Plant and Equipment are measured at cost less accumulated depreciation/amortization and accumulated impairment losses. Cost includes expenditure that is directly attributable to bringing the asset, inclusive of non-refundable taxes & duties, to the location and condition necessary for it to be capable of operating in the manner intended by management.

When parts of an item of property, plant and equipment have different useful lives, they are recognized separately. Items of spare parts, stand-by equipment and servicing equipment which meet the definition of Property, Plant and Equipment are capitalized. Property, Plant and Equipments which are not ready for intended use as on the date of Balance Sheet are disclosed as 'Capital Work-In-Progress'.

Property, Plant and Equipments are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any.

A.2. Subsequent costs

Subsequent expenditure is recognized as an increase in the carrying amount of the asset when it is probable that future economic benefits deriving from the cost incurred will flow to the enterprise and the cost of the item can be measured reliably.

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of the day-to-day servicing of Property, Plant and Equipment are recognized in profit or loss as incurred.

A.3. Derecognition

Property, Plant and Equipment are derecognized when no future economic benefits are expected from their use or upon their disposal. Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized in the statement of profit and loss.

A.4. Depreciation/amortization

Depreciation is recognized in profit or loss on a written-down value basis over the estimated useful lives of each part of an item of Property, Plant and Equipment.

Depreciation on additions to/deductions from property, plant and equipment during the year is charged on pro-rata basis from/up to the date on which the asset is available for use/disposed.

Depreciation on property, plant and equipment is provided on their estimated useful lives as prescribed by Schedule II of Companies Act, 2013 which is as under:

Property, Plant and Equipments	Useful Lives
Freehold Buildings	60 years
Furniture and Fittings	10 years
Plant and equipment	13 years
Vehicles	8 years
Computers	3 years

The useful lives of Property, Plant and Equipments are reviewed at the end of each reporting period if the expected useful life of the asset changes significantly from previous estimates, the effect of such change in estimates are accounted for prospectively.

B Leases**B.1 As Lessee**

B.1.1 Leases where the Company, as lessee has substantially all risks and rewards of ownership are classified as finance lease. On initial recognition, assets held under finance leases are recorded as property, plant and equipment and the related liability is recognized as Financial Liability. At inception of the lease, finance leases are recorded at amounts equal to the fair value of the leased asset or, if lower, the present value of the minimum lease payments. Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability.

B.1.2 An operating lease is a lease other than a finance lease. Lease payments under an operating lease shall be recognised as an expense on a straight-line basis over the lease term unless another systematic basis is more representative of the time pattern. Lease incentives received are recognized as an integral part of the total lease expense, over the term of the lease.

C Borrowing costs

Borrowing costs are interest and other costs incurred in connection with the borrowing of funds.

Borrowing costs that are directly attributable to the acquisition, construction/exploration/ development or erection of qualifying assets are capitalized as part of cost of such asset until such time the assets are substantially ready for their intended use. Qualifying assets are assets which take a substantial period of time to get ready for their intended use or sale. Capitalization of the

Borrowing costs in respect of General Borrowing used for the purpose of obtaining a qualifying asset is computed based on the weighted average cost of such borrowing that are outstanding during the period and used for the acquisition, construction/exploration or erection of the qualifying asset.

Capitalization of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying assets for their intended uses are complete. Borrowing Costs consists of (a) interest expense calculated using effective interest method as described in Ind AS 109- 'Financial Instruments' (b) finance charges in respect of finance lease recognized in accordance with Ind AS 17 'Leases' (c) other cost that an entity incurs in connection with the borrowing of funds.

Other borrowing costs are recognized as an expense in the year in which they are incurred.

D Inventories

Inventories of drugs and medical consumables are valued at lower of cost or net realizable value. Cost includes the cost of purchase including expenditure directly attributable to the purchase. Cost is determined using the first-in, first-out (FIFO) method. Net realizable value is the estimated selling price in the ordinary course of business.

Inventory of land under development is also valued at lower of cost or net realizable value.

E Cash and Cash Equivalents

Cash and cash equivalents in the balance sheet comprise of cash at bank and cash on hand and short-term deposits with an original maturity of three months or less, which are subject to insignificant risk of change in value.

F Financial instruments

Financial assets and financial liabilities are recognised when a Company becomes a party to the contractual provisions of the instruments.

F.1 Financial Assets

F.1.1 Initial recognition and measurement

All financial assets are recognized initially at fair value plus or minus, in the case of financial assets not recorded at fair value through profit or loss, transaction costs are attributable to the acquisition or issue of the financial asset, otherwise charged to Statement of Profit & Loss.

F.1.2 Subsequent measurement

Financial assets are subsequently classified and measured at:

- Financial assets at amortised cost.
- Financial assets at fair value through profit and loss (FVTPL)
- Financial assets at fair value through other comprehensive income (FVTOCI).

a) Trade Receivables

Trade receivables are initially recognised at fair value. Subsequently, these assets are held at amortised cost, using the effective interest rate (EIR) method net of any expected credit losses wherever applicable. The EIR is the rate that discounts estimated future cash income through the expected life of financial instrument.

b) Investment in Equity Instruments :

All investments in equity instruments in entities other than subsidiaries and joint ventures are measured at fair value. Equity instruments if held for trading are classified as at FVTPL. For all other equity

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

instruments, the Company decides to classify the same either as at FVTOCI or FVTPL. The Company makes such election on an instrument by instrument basis. The classification is made on initial recognition and is irrevocable.

If the company decides to classify an equity instrument at FVTOCI, then all fair value changes on the instruments, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to P&L, even on sale of investment as the company transfers cumulative gain or loss within the equity.

Equity instruments if classified as FVTPL category are measured at fair value with all changes recognized in the profit and loss.

F.1.3 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of similar financial assets) is primarily derecognized (i.e. removed from the Company's balance sheet) when:

- The contractual rights to receive cash flows from the asset have expired, or
- The Company has transferred its contractual rights to receive cash flows from the asset.

F.2 Financial liabilities

F.2.1 Initial recognition and measurement

All financial liabilities are recognized at fair value and in case of loans, net of directly attributable cost. Fees of recurring nature are directly recognised in the Statement of Profit and Loss as finance cost.

F.2.2 Subsequent measurement

Financial liabilities are carried at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on acquisition and any material transaction that are integral part of the EIR. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts shall be approximate fair value due to the short maturity of these instruments.

Financial liabilities carried at fair value through profit or loss are measured at fair value with all changes in fair value recognised in the Statement of Profit and Loss.

F.2.3 Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit or loss.

G Impairment of Non-Financial Assets

The Company, in accordance with the Indian Accounting Standard (Ind AS) 36 "Impairment of Assets", has adopted the practice of assessing at each Balance Sheet date whether there is any indication that an asset may be impaired. If any such indication exists, then the company provides for the loss for impairment of Assets after estimating the recoverable amount of the assets.

H Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognised when the company has a present obligation (legal or constructive), as a result of a past event and it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

Contingent liabilities are disclosed only when there is a possible obligation arising from past events, the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events which is not wholly within the control of the Company or a present obligation that arises from past events where it is either not probable that an outflow of resources will be required to settle the obligation or estimate of the amount cannot be measured reliably.

No contingent asset is recognized in the financial statements but the same are disclosed by way of notes to accounts only when its recognition is virtually certain.

I Revenue Recognition

Revenue is measured at the fair value of the consideration received or receivable and when it is probable that future economic benefits will flow to the entity.

Income from healthcare activities

Income is accounted for on accrual basis. Revenue is recognized upon rendering of services.

Other Income

- a) Dividend income is recognized when the right to receive the income is established.
- b) Interest income is recognised, when no significant uncertainty as to measurability or collectibility exists, on a time proportion basis taking into account the amount outstanding and the applicable interest rates.
- c) The company has entered into a joint development agreement with M/s Unique Dream Builders Private Limited for development of land situated at Udai Nagar – B, Gopalpura Bypass Road, Jaipur, Rajasthan. Any advance or payment received against sale of flats is recognised as revenue in the year of receipt.

J Income Taxes

Income tax expense for the year comprises of current tax and deferred tax. It is recognised in the Statement of Profit and Loss except to the extent it relates to any business combination or to an item which is recognised directly in equity or in other comprehensive income.

J.1 Current Tax

Current tax includes provision for Income Tax computed under Special provision (i.e., Minimum alternate tax) or normal provision of Income Tax Act. Tax on Income for the current period is determined on the basis of estimated taxable income and tax credits computed in accordance with the provisions of the relevant tax laws.

J.2 Deferred Tax

Deferred tax assets are recognised for all deductible temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax is recognized using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

K Employee Benefits

K.1 Short Term Employee Benefits

Short-term employee benefits are recognised in the year during which the services have been rendered.

K.2 Post-Employment benefits

Employee benefits that are payable after the completion of employment are Post-Employment Benefits (other than termination benefits). These are of two types:

K.2.1 Defined contribution plans

Provident Fund

All employees of the company are entitled to receive benefits under the provident fund which is defined contribution plan. Both the employees and the employer make monthly contributions to the plan at a pre determined rate of the employees' basic salary and certain allowances as applicable. These contributions are made to the fund administered and managed by the Government of India. The Company's contribution to the scheme is expensed off in the Statement of profit and loss. The company has no further obligations under the plan beyond its monthly contributions.

K.2.2 Defined benefit plans

Gratuity

Gratuity is a post employment defined benefit plan. The company makes annual contributions to gratuity fund administered by the trustee (LIC) for amount notified by the fund. The gratuity plans provide for lumpsum payment to vested employees on retirement, death or termination of employment of an amount based on respective employees last drawn salary and tenure of employment.

L Earnings Per Share (EPS)

Basic Earnings Per Share is calculated by dividing the net profit or loss for the period attributable to equity shareholders by weighted average number of equity shares outstanding during the period.

Diluted earnings per equity share is computed by dividing the net profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares.

M Statement of Cash Flows

Statement of cash flows is prepared in accordance with the indirect method prescribed in Ind AS-7 'Statement of cash flows.

N Exceptional Items

Exceptional items are disclosed separately in the financial statements where it is necessary to do so to provide further understanding of the financial performance of the Company. These are material items of income or expense that have to be shown separately due to their nature or incidence.

O Offsetting instruments

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.

P Events after the reporting period

Adjusting events are events that provide further evidence of conditions that existed at the end of the reporting period. The financial statements are adjusted for such events before authorisation for issue.

Non-adjusting events are events that are indicative of conditions that arose after the end of the reporting period. Non-adjusting events after the reporting date are not accounted, but disclosed.

Q Key accounting judgement, estimates and assumptions

The preparation of the financial statements requires management to exercise judgment and to make estimates and assumptions. These estimates and associated assumptions are based on historical experiences and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an on-going basis. Revision to accounting estimates are recognised in the period in which the estimate is revised if the revision affect only that period, or in the period of the revision and future periods if the revision affects both current and future period. Instance being, Depreciation and amortisation is based on management estimates of the future useful lives of the property, plant and equipment and intangible assets. Estimates may change due to technological developments, competition, changes in market conditions and other factors and may result in changes in the estimated useful life and in the depreciation and amortisation charges.

R Changes in Indian Accounting Standards and recent accounting pronouncements

On March 30, 2019 the Ministry of Corporate Affairs issued the Companies (Indian Accounting Standards) (Amendments) Rules, 2019, notifying Ind AS 116 on Leases. Ind AS 116 would replace the existing leases standard Ind AS 17. The standard sets out the principles for the recognition, measurement, presentation and disclosures for both parties to a contract, i.e. the lessee and the lessor. Ind AS 116 introduces a single lease accounting model and requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. Currently for operating lease rentals are charged to the statement of profit and loss. The Companies (Indian Accounting Standards) Amendment Rules, 2019 also notified amendments to the following accounting standards. The amendments would be effective from April 1, 2019.

1. Ind AS 12, Income taxes – Appendix C on uncertainty over income tax treatments
2. Ind AS 12, Income Taxes - Accounting for Dividend Distribution Taxes
3. Ind AS 23, Borrowing costs
4. Ind AS 28 – Investment in associates and joint ventures
5. Ind AS 103 and Ind AS 111 – Business combinations and joint arrangements
6. Ind AS 109 – Financial instruments
7. Ind AS 19 – Employee benefits

The Company is in the process of evaluating the implications of Ind AS 116 on the financial statement and also evaluating the impact of above amendments.

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st MARCH, 2019

1. NON CURRENT ASSETS - Property, Plant and Equipment As at 31st March 2019

(Amount in Rs. Lakhs)

Particulars	GROSS BLOCK (AT COST)				ACCUMULATED DEPRECIATION/AMORTISATION				NET BLOCK	
	Balance at April 1, 2018	Addition	Disposal/ Discard	Balance as at March 31, 2019	Balance as at April 1, 2018	For the Year	On Disposals/ Discard	Balance as at March 31, 2019	Balance as at March 31, 2019	Balance as at March 31, 2018
Land										
Free Hold	287.91	18.21	106.86	199.26	-	-	-	-	199.26	287.91
Buildings										
Free Hold	111.86	-	-	111.86	10.63	4.93	-	15.56	96.30	101.23
Plant and Equipment:										
Freehold	265.61	5.72	16.72	254.61	89.68	35.73	7.01	118.40	136.21	175.93
Leasehold Oxygen Plant	26.50	-	-	26.50	9.01	3.28	-	12.29	14.21	17.49
Furniture and Fittings	36.52	1.87	-	38.39	15.42	5.65	-	21.07	17.32	21.10
Vehicles	5.13	7.36	-	12.49	2.70	1.53	-	4.23	8.26	2.43
Computers	4.58	1.13	-	5.71	3.54	1.00	-	4.54	1.17	1.04
Total	738.11	34.29	123.58	648.82	130.98	52.12	7.01	176.09	472.73	607.13
Previous Year	709.20	30.92	2.01	738.11	69.49	61.92	0.43	130.98	607.13	639.71

Non Current Assets - Capital Work in Progress

Particulars	As at 31st March 2019	As at 31st March 2018
Building under construction at B-103, Janpath, Shyam Nagar, Jaipur	35.30	0.57
	35.30	0.57

Notes to Financial Statements for the year ended 31st March, 2019

2. NON CURRENT FINANCIAL ASSETS - INVESTMENTS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Investments in Equity Instruments (Quoted)		
2,90,900 (P.Y. 2,90,900) Equity Shares of 10/-each of Ganpati Plastfab Limited*	170.00	168.82
Total	170.00	168.82
Investments in Equity Instruments (Unquoted)		
2,000 (P.Y. 2,000) Equity Shares of 100/-each of Sharma Nursing Home and Bone Hospital Private Limited	2.00	2.00
4,000 (P.Y. 4,000) Equity Shares of 100/-each of Sharma Hospitals Private Limited	4.00	4.00
4,000 (P.Y. 4,000) Equity Shares of 100/-each of Gaurav Sharma Enterprises Private Limited	4.00	4.00
Total	10.00	10.00
Investments in Government Securities		
National Savings Certificates	0.03	0.03
Total	0.03	0.03
	180.03	178.85
Aggregate amount of Market Value of Quoted Investments	170.00	168.82
Aggregate amount of Unquoted Investments	10.00	10.00
Investment has been valued as per accounting policy.		
*This investment is listed on Regional Stock Exchange.		

3. NON-CURRENT FINANCIAL ASSETS - OTHERS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Security Deposits	14.62	16.60
	14.62	16.60

4. NON CURRENT ASSETS - OTHER NON CURRENT ASSETS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Deferred Revenue Expenditure	2.14	-
Advance against Capital Expenditure	0.52	14.53
	2.66	14.53

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Notes to Financial Statements for the year ended 31st March, 2019

5. CURRENT ASSETS - INVENTORIES

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Drugs and Medical Consumables	4.38	4.06
Inventories (In - Patient Pharmacy)	1.85	0.55
Stores and Spares	11.82	15.87
Land under Development	43.81	43.81
	61.86	64.29

Note- Inventories have been valued as per accounting Policy.

6. CURRENT FINANCIAL ASSETS - TRADE RECEIVABLES

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Trade Receivables	345.12	324.93
Receivables from related parties	-	-
	345.12	324.93
Less: Provision for doubtful receivables	-	-
	345.12	324.93

7. CURRENT FINANCIAL ASSETS - CASH AND CASH EQUIVALENTS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Balances With Banks	503.12	3.24
Cash in Hand	10.44	13.99
	513.56	17.23
Other Balances with Bank		
FDR with Bank	1.12	1.10
	1.12	1.10
	514.68	18.33

8. CURRENT FINANCIAL ASSETS- OTHERS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Miscellaneous Receivable	8.71	8.71
Advance to Employees	0.02	0.06
	8.73	8.77

Note : Advance given to employees are measured at amortised cost.

Notes to Financial Statements for the year ended 31st March, 2019

9. CURRENT ASSETS- OTHER CURRENT ASSETS

(Amount in Rs. Lakhs)

Particulars	As at 31st March 2019	As at 31st March 2018
Advance To Suppliers	316.70	155.01
Accrued Income	56.02	30.86
Advance Tax (including Tax deducted at source receivable)	144.76	166.42
Prepaid Expenses	11.33	11.96
Statutory Receivables	48.82	30.94
Other Receivables	0.07	0.07
	577.70	395.26

10. EQUITY SHARE CAPITAL

(Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
EQUITY SHARE CAPITAL		
(a) Authorised Share Capital		
70,00,000 (Previous year 70,00,000) Equity Shares of Rs.10/- each	700.00	700.00
	700.00	700.00
(b) Issued Share Capital		
51,49,000 (Previous year 51,49,000) Equity Shares of Rs. 10/- each	514.90	514.90
	514.90	514.90
(c) Subscribed and Paid-up Share Capital		
32,83,800 (Previous year 32,83,800) Equity Shares of Rs. 10/- each fully paid up	328.38	328.38
	328.38	328.38
(d) Forfeited Share Capital		
Forfeited Shares (Amount originally paid up)	87.37	87.37
	87.37	87.37
Total Equity Share Capital	415.75	415.75

Notes to Financial Statements for the year ended 31st March, 2019**10.1 Reconciliation of the number of shares at the beginning and at the end of the year**

There has been no change/ movements in number of shares outstanding at the beginning and at the end of the year.

10.2 Terms/ Rights attached to Equity Shares

The Company has one class of issued shares i.e., Ordinary Shares having par value of Rs.10 per share. Each holder of the Ordinary Shares is entitled to one vote per share and equal right for dividend. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend. In the event of liquidation, the ordinary shareholders are eligible to receive the remaining assets of the Company after payment of all preferential amounts, in proportion to their shareholding.

10.3 Details of Equity Shareholders holding more than 5% shares in the Company

Name of the Shareholder	As at 31st March 2019		As at 31st March 2018	
	No. of Shares	% Holding	No. of Shares	% Holding
Sharma Hospitals Private Limited	670,400	20.42	670,400	20.42
Shailendra Kumar Sharma	412,200	12.55	412,200	12.55
Ganpati Plastfab Limited	290,900	8.86	290,900	8.86
Sharma Nursing Home and Bone Hospital Private Limited	183,900	5.60	183,900	5.60

10.4 Shares allotted as fully paid up bonus shares/ pursuant to a Contract

No Shares have been issued as fully paid bonus shares/ pursuant to a contract in the five immediately preceding years.

11. OTHER EQUITY**(Amount in Rs. Lakhs)**

Particulars	As at	As at
	March 31, 2019	March 31, 2018
Retained Earnings	238.26	211.67
Fair Value through other Comprehensive Income Reserve (FVTOCI)	135.03	133.97
	373.29	345.64

Notes to Financial Statements for the year ended 31st March, 2019

11.1 Retained Earnings

(Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Balances at the beginning of the year	211.67	198.48
Add: Profit for the year	26.59	13.19
Balance at the end of the year	238.26	211.67

11.2 FVTOCI Reserve

(Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Balance at the beginning of the year	133.97	133.97
Add/(Less): Change in Fair Value	1.18	-
Add/(Less): Deferred Tax	(0.12)	-
Add/(Less): Transferred to retained earnings	-	-
Balance at the end of the year	135.03	133.97

12. NON CURRENT FINANCIAL LIABILITIES - BORROWINGS

(Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Overdraft Facility from Bank	55.76	81.35
	55.76	81.35

12.1 Other Loans consist of overdraft facility from Punjab National Bank secured by Equitable Mortgage of Immovable Property situated at Plot No. B-103, Janpath, Shyam Nagar, Jaipur. The overdraft facility is also secured by the guarantee of Managing Director, Dr. Shailendra Kumar Sharma and Director, Smt. Maya Sharma. Further, the borrowing is to be repaid in 84 months by way of monthly reducing DP of Rs. 2.98 Lakhs. Interest is to be repaid as and when due.

Notes to Financial Statements for the year ended 31st March, 2019
13. NON CURRENT FINANCIAL LIABILITIES - OTHER FINANCIAL LIABILITIES (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Finance Lease obligation		
Secured (Oxygen Plant)	-	4.04
Security Deposit		
Security Deposit from Developer under Joint Development Agreement	50.50	44.88
	50.50	48.92

14. NON CURRENT LIABILITIES- DEFERRED TAX LIABILITIES (NET) (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Deferred Tax Liabilities/(Asset):		
Depreciation on Fixed Assets	(2.55)	(2.52)
Fair Valuation of equity Instruments	15.51	15.38
Financial Lease Adjustments	2.46	1.15
	15.42	14.01

15. NON CURRENT LIABILITIES - OTHER NON CURRENT LIABILITIES (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Security Deposit Adjustment Account	6.50	12.12
	6.50	12.12

16. CURRENT FINANCIAL LIABILITIES - BORROWINGS (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Loans Repayable on demand		
From Banks:		
Overdraft Facility	992.91	411.88
	992.91	411.88

16.1 Loan Repayable on demand consist of overdraft facility from Punjab National Bank secured by Equitable Mortgage of Land and Building of the Company situated at Jaipur Hospital, Near SMS Stadium, Lal Kothi, Tonk Road, Jaipur. The overdraft facility is also secured by the guarantee of Managing Director, Dr. Shailendra Kumar Sharma and Director, Smt. Maya Sharma. Further the borrowing is repayable on demand.

Notes to Financial Statements for the year ended 31st March, 2019

17. CURRENT FINANCIAL LIABILITIES - TRADE PAYABLES (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Sundry Creditors for Goods (Refer Note Below)	44.35	35.54
Liabilities for Expenses (Refer Note Below)	59.53	57.01
	103.88	92.55

17.1 Micro enterprises and small enterprises under the Micro, Small and Medium Enterprises Development Act, 2006 have been determined based on the confirmations received in response to intimation in this regard sent by the Company to the suppliers. Based on these confirmations, No parties were identified as such as and consequently, No interest in terms of Section 16 of Micro, Small and Medium Enterprises Development Act, 2006 or otherwise has either been paid or payable or accrued and remaining unpaid as at March 31, 2019.

18. CURRENT FINANCIAL LIABILITIES - OTHER FINANCIAL LIABILITIES (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Current maturities of Long Term Debts	35.76	35.76
Current maturities of finance lease obligations	4.66	9.00
Staff Security deposit	2.88	2.71
Other Payables	114.51	103.71
	157.81	151.18

19. CURRENT LIABILITIES- OTHER CURRENT LIABILITIES (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Statutory dues	16.32	16.12
Advances from Patients	18.67	33.91
	34.99	50.03

20. CURRENT LIABILITIES- PROVISIONS (Amount in Rs. Lakhs)

Particulars	As at March 31, 2019	As at March 31, 2018
Provision for Taxation	6.62	5.83
	6.62	5.83

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

Notes to Financial Statements for the year ended 31st March, 2019

21. REVENUE FROM OPERATIONS

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Sale of Service:		
Receipts from Patients (Refer Note No. 21.1)	1,358.57	1,353.24
Sale of Products:		
Revenue from In-Patient Pharmacy	15.50	0.36
Other Operating Revenues	98.83	246.55
	1,472.90	1,600.15

21.1 Details of Receipts from Patients

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Accommodation Charges	246.21	274.89
Admission Registration Charges	17.29	17.17
Cathlab Charges	191.10	165.74
Consultation Charges	136.60	143.37
CT Scan Charges	4.03	4.67
ECG Charges	1.46	1.61
ECHO Charges	5.60	6.76
Holter Charges	0.07	0.05
Lab Charges	130.16	120.07
Operation Charges	461.02	487.63
Other Miscellaneous Charges	123.58	90.97
Sonography Charges	6.14	6.24
TMT Charges	0.15	0.31
TEE Charges	-	0.02
X-Ray Charges	35.16	33.74
	1,358.57	1,353.24

Notes to Financial Statements for the year ended 31st March, 2019

22. OTHER INCOME

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Interest Income:		
On Banks Deposits	0.16	0.03
Other Interest Income	12.28	6.55
Profit on sale of capital assets	98.30	0.41
	110.74	6.99

23. COST OF MATERIALS CONSUMED AND SOLD

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Drugs and Medical Consumables* (Refer Note No.- 23.1)	209.55	236.50
Land under Development** (Refer Note No.- 23.2)	-	1.57
	209.55	238.07

23.1 Details of Material Consumed (Drugs and Medical Consumables)

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Opening Stock	4.06	5.03
Add: Purchases	209.87	235.53
	213.93	240.56
Less: Closing Stock	4.38	4.06
	209.55	236.50

23.2 Details of Land Under Development

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Opening Stock	43.81	44.18
Add: Urban Development Tax Paid	-	1.20
	43.81	45.38
Less: Closing Stock	43.81	43.81
	-	1.57

* % of Consumption: 100% Indigenous

**Land under Development at Udai Nagar-B, Gopalpura Bypass Road, Jaipur

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19**Notes to Financial Statements for the year ended 31st March, 2019****24. PURCHASES OF STOCK-IN-TRADE****(Amount in Rs. Lakhs)**

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Purchases - In Patient Pharmacy	11.43	0.83
	11.43	0.83

25. CHANGES IN INVENTORIES OF STOCK-IN-TRADE**(Amount in Rs. Lakhs)**

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Opening Stock - In patient Pharmacy	0.55	-
Closing Stock - In patient Pharmacy	(1.85)	(0.55)
	(1.30)	(0.55)

26. EMPLOYEE BENEFITS EXPENSES**(Amount in Rs. Lakhs)**

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Salaries, Wages & Bonus	212.12	210.54
Contribution to Provident and Other Funds	17.88	19.87
Staff Welfare Expenses	1.65	1.65
Managerial Remuneration	24.00	24.00
Gratuity	0.99	1.81
Security expenses	19.58	19.11
Uniform Expenses	0.58	3.89
	276.80	280.87

27. FINANCE COSTS**(Amount in Rs. Lakhs)**

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Interest Expenses:		
Paid to Banks	78.49	64.08
Paid to Others	6.96	6.74
Bank & Other Charges	2.52	2.44
	87.97	73.26

Notes to Financial Statements for the year ended 31st March, 2019

28. OTHER EXPENSES

(Amount in Rs. Lakhs)

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
(A) OPERATING EXPENSES		
Patients' Food Expenses	2.72	4.39
Consultancy charges	1.66	1.27
Dialysis Expenses	-	0.32
Electricity & Water Charges	43.50	39.78
Repairs to Plant and Machinery	31.36	44.13
Share of consultant doctors	303.09	323.99
Accommodation & Other Expenses	142.61	146.92
C.T. Scan Expenses	4.59	4.73
General Utility Items	4.11	4.76
Lease Rent of Plant & Machinery	1.73	1.66
Expenditure incurred for patients' care	62.58	64.90
Pathological Consumable Items	32.99	30.90
Pathological Expenses	19.80	18.43
Surgery Expenses	199.55	162.81
Washing and Laundry	2.86	4.04
X- Ray Film Consumed	4.91	5.78
X- Ray Reporting Expenses	0.76	0.90
Total (A)	858.82	859.71

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19**Notes to Financial Statements for the year ended 31st March, 2019****(B) GENERAL EXPENSES**

	<u>2019</u>	<u>2018</u>
D.G.Set Oil, Petrol & Diesel	3.98	3.64
Rates and Taxes	1.19	14.37
Insurance Charges	1.04	1.00
Repairs to others	12.66	11.97
Repairs to building	5.94	4.37
Advertisement & Publicity Expenses	3.59	11.45
Audit Fees	2.12	2.36
Legal and Professional fees	5.04	9.97
Membership Fees	3.60	2.59
Miscellaneous Expenses	1.46	1.39
Printing & Stationary	8.60	6.55
Telephone, Postage & Telegram	3.50	3.74
Travel Cost	0.78	1.17
Vehicle Running & Maintenance	0.36	0.44
Total (B)	53.86	75.01
Total Operating & General Expenses (A) + B)	912.68	934.72

29. EARNINGS PER EQUITY SHARE

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Basic and Diluted Earnings Per Share (in Rs.)	0.84	0.40
Profit attributable to equity shareholders (used as numerator)	(Amount in Rs. Lakhs)	
Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Profit / (Loss) as per Statement of Profit & Loss	27.65	13.19

Weighted Average number of Equity shares for calculating basic and diluted EPS (used as denominator)

No. of Shares

Particulars	Year ended 31st March 2019	Year ended 31st March 2018
Opening Balance of Issued Equity Shares	3,283,800	3,283,800
Effect of Shares Issued during the year	-	-
Weighted Average number of Equity shares for calculating basic and diluted EPS	3,283,800	3,283,800

OTHER DISCLOSURES

30. Disclosure as per Ind AS 2 'Inventories'

Amount of inventories recognised as expense during the year is as under: (Amount in Rs. Lakhs)

Particulars	2018-19	2017-18
Drugs and Medical Consumables	209.55	236.50
Inventories (In patient pharmacy)	10.13	0.28
Land under Development	-	1.57
Printing and Stationery	8.60	6.55
General Utility Items	4.11	4.76
Pathological Consumable Items	32.99	30.90
X- Ray Films	4.91	5.78
Total	270.29	286.34

31. Disclosure as per Ind AS 12 'Income Tax'

Income Tax Expense

i) Income Tax recognised in statement of profit & loss (Amount in Rs. Lakhs)

Particulars	31.03.2019	31.03.2018
Tax Expense		
Current Tax	6.62	5.83
Adjustment for earlier years	(0.10)	-
Total Current Tax Expenses	6.52	5.83
Deferred tax	1.28	(1.00)
Total Deferred Tax Expenses	1.28	(1.00)
Total Income Tax Expenses	7.80	4.83

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

ii) Income tax recognised in other comprehensive income (Amount in Rs. Lakhs)

Particulars	31.03.2019			31.03.2018		
	Before tax	Tax expense/ Benefit	Net of tax	Before tax	Tax expense/ Benefit	Net of tax
Net gain/loss on fair value of equity instruments	1.18	(0.12)	1.06	-	-	-

iii) Reconciliation of tax expense and accounting profit multiplied by India's domestic rate (Amount in Rs. Lakhs)

Particulars	31.03.2019	31.03.2018
Profit before tax	34.39	18.02
Tax using the company's domestic tax rate	8.94	4.64
Tax effect of :		
Non deductible tax expenses	13.89	16.67
Deductible tax expenses and income tax at different rate	(39.05)	(15.48)
	(16.22)	5.83
Tax effect of :		
Income Tax at different rate	(6.57)	-
Tax liability for the current year	(22.79)	5.83
Minimum Alternate Tax payable on Book Profits as per Income Tax Act, 1961	6.62	-
Total current tax expenses in the statement of profit and loss	6.62	5.83

Notes to Financial Statements for the year ended 31st March, 2019

32. Disclosure as per Ind AS 17 'Leases'

The Company has taken on lease an Oxygen Plant, as per terms of lease agreement, details are as under:

Particulars	31-Mar-19		31-Mar-18	
	MLPs	PV of MLP	MLPs	PV of MLP
Less than one year	4.80	4.66	9.60	9.00
Between one and five years	-	-	4.80	4.03
More than five years	-	-	-	-
Total minimum lease payments	4.80	4.66	14.40	13.03
Less: Amounts representing finance charges	0.14	-	1.37	-
Present value of minimum lease payments	4.66	4.66	13.03	13.03

33. Disclosure as per Ind AS 19 'Employee Benefits'

A) Defined contribution plans

During the year company has recognised the following amounts in the statement of profit and loss

Particulars	2018-19	2017-18
Benefits (Contributed to)		
Provident Fund	11.52	13.01
Employees State Insurance	6.36	6.86
Total	17.88	19.87

B) Defined Benefit Plan

(Amount in Rs. Lakhs)

Particulars	2018-19	2017-18
Gratuity (Administered by LIC)	0.99	1.81
Total	0.99	1.81

Notes to Financial Statements for the year ended 31st March, 2019
34. Disclosure as per Ind AS 24 'Related party Disclosures'
(A) Names of Related Party and Related Party Relationship

Key Management Personnel ('KMP')	a.) Dr. Shailendra Kumar Sharma, Managing Director
	b.) Mr. Shiv Shankar Sharma, Company Secretary
	c.) Mr. Vimal Kumar Joshi, Chief Financial Officer
Additional Related Parties as per the Companies Act, 2013	a.) Mrs. Maya Sharma (Relative of KMP)
	b.) Dr. Karan Sharma (Relative of KMP)
	c.) Dr. Shivani Sharma (Relative of KMP)
	d.) Mr. Ashwani Sharma (Relative of KMP)
	e.) Mr. Pradeep Kumar Sharma (Relative of KMP)
Enterprises owned or significantly influenced by key management personnel ('KMP') or their relatives	a.) Sharma Hospitals Private Limited
	b.) Sharma Nursing Home and Bone Hospital Private Limited
	c.) Jaipur Heart Hospital Private Limited
	d.) Jaipur Heart Institute
	e.) Gaurav Sharma Enterprises Private Limited

(B) Transactions With Related Party
(Amount in Rs. Lakhs)

Transaction Details	2018-19	2017-18
Remuneration Paid to KMP:		
Dr. Shailendra Kumar Sharma, Managing Director	24.00	24.00
Mr. Shiv Shankar Sharma, Company Secretary	2.60	2.53
Mr. Vimal Kumar Joshi, Chief Financial Officer	5.01	5.22
Professional Fees paid as doctor/Remuneration Paid:		
Dr. Shailendra Kumar Sharma	9.29	9.24
Dr. Pradeep Kumar Sharma	6.00	6.00
Dr. Karan Sharma	30.00	31.00

Terms and conditions:

All the transactions were made on normal commercial terms and conditions and at market rates.

Notes to Financial Statements for the year ended 31st March, 2019

35. Disclosure as per Ind AS 37 'Provisions, contingent liabilities and contingent assets' Contingent liabilities are usually not provided unless it is probable that future outcome may be materially detrimental to the company. The company is contingently liable for fine, interest, penalty etc, if any, imposed by the competent authority for defaults in compliances of the certain provisions of the Income Tax Act and other applicable laws. The same will be determined and accounted for at the time of final assessment.

36. There are no contingent liabilities of the Company as on 31st March, 2019.

37. Disclosure as per Ind AS 107 'Financial instrument disclosure'

A) Capital Management

For the purpose of Company's Capital Management , Capital includes issued equity share capital and borrowings excluding working capital loans from various financial institutions. The primary objective of Company's Capital Management is to maximize shareholder's value and to maintain an appropriate capital structure of debt and equity. The company manages its capital structure and makes adjustments in the light of changes in economic environment and the requirements of financial covenants.

Equity share capital and other equity are considered for the purpose of Company's capital management. The Company manages its capital so as to safeguard its ability to continue as a going concern and to optimise returns to shareholders. The capital structure of the Company is based on management's judgement of its strategic and day-to-day needs with a focus on total equity so as to maintain investor, creditors and market confidence. The management and the Board of Directors monitors the return on capital as well as the level of dividends to shareholders. The Company may take appropriate steps in order to maintain, or if necessary adjust, its capital structure.

Particulars	(Amount in Rs. Lakhs)	
	As at 31 March, 2019	As at 31 March, 2018
Borrowings		
Long term	55.76	81.35
Short term	992.91	411.88
Current maturities of long term borrowings	35.76	35.76
Total borrowings - A	1,084.43	528.99

Equity

Share capital	415.75	415.75
Other equity	373.29	345.64
Total Equity - B	789.04	761.39
Debt to equity ratio (A/B)	1.37	0.69

B) Financial Risk Management

The Company's Financial Risk Management is an integral part of how to plan and execute its business strategies. The Company's financial risk management is set by the Managing Board. The Company's principal financial liabilities comprise of loans and borrowings, trade payables and other payables. The main purpose of these financial liabilities is to finance the company's operations. The company's principal financial assets include trade & other receivables, cash and short term deposits.

The Company is exposed to the following risks from its use of financial instruments:

- Credit Risk
- Liquidity Risk
- Interest Rate Risk

Risk	Exposure arising from	Mesurement	Management
Credit Risk	Trade receivables	Ageing analysis, Credit Ratings	Credit limits, Escrow Cover, letters of credit and diversification of bank deposits. Prefer nationalized bank for deposit.
	Financial assets measured at Amortised cost and cash & cash equivalents	Credit Ratings	
Liquidity risk	Borrowing and other liabilities	Rolling cash flows forecast	Availability of committed credit lines and borrowing facilities
Interest rate risk	Long-term and short-term Borrowings at variable rates	Sensitivity analysis, Cash Flow Analysis	Different kinds of loan arrangements with varied terms.

i) Credit risk

Credit risk arises from the possibility that counter party may not be able to settle their obligations as agreed. Majority of the company's transactions are earned in cash and cash equivalents. The trade receivables comprise mainly of receivables from insurance companies, corporate customers and Government Undertakings. To manage this, the Company periodically assesses the financial reliability of customers, taking into account financial conditions, current economic trends and analysis of historical bad debts and ageing of accounts receivables. Individual risks are set accordingly.

Notes to Financial Statements for the year ended 31st March, 2019

Ageing of trade receivables - The Ageing of trade receivables is as below:
(Amount in Rs. Lakhs)

Ageing	0-365 days	1-2 years	2-5 years	5 years or more	Total
Gross Carrying amount as on 31.03.2019	113.08	52.92	152.08	27.04	345.12
Gross Carrying amount as on 31.03.2018	137.69	40.83	116.07	30.34	324.93

ii) Liquidity Risk

Liquidity risk is defined as the risk that the Company will not be able to settle or meet its obligations on time or at a reasonable price. The Company is responsible for liquidity, funding as well as settlement management. In addition, processes and policies related to such risks are overseen by senior management. Management monitors the Company's net liquidity position through rolling forecasts on the basis of expected cash flows.

iii) Interest Rate Risk

The Company is exposed to interest rate risk arising mainly from long term and short term borrowings with floating interest rates. The Company is exposed to interest rate risk because the cash flows associated with floating rate borrowings will fluctuate with changes in interest rates.

C) The following are the contractual maturities of financial liabilities based on contractual cash flows:
(Amount in Rs. Lakhs)

Contractual Maturities of Financial Liabilities As at 31.03.2019	0-12 months	1-2 years	2-5 years	More than 5 years	Total
Long Term borrowings	35.76	35.76	20.00	-	91.52
Short term borrowings	992.91	-	-	-	992.91
Trade payables	103.88	-	-	-	103.88
Other financial liabilities	122.05	50.50	-	-	172.55
Total	1,254.60	86.26	20.00	-	1,360.86

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

(Amount in Rs. Lakhs)

Contractual Maturities of Financial Liabilities As at 31.03.2018	0-12 months	1-2 years	2-5 years	More than 5 years	Total
Long Term borrowings	35.76	35.76	45.59	-	117.11
Short term borrowings	411.88	-	-	-	411.88
Trade payables	92.55	-	-	-	92.55
Other financial liabilities	115.42	48.92	-	-	164.34
Total	655.61	84.68	45.59	-	785.88

D) Financing Arrangements

The Company had access to the following undrawn borrowing facilities at the end of the reporting period:

(Amount in Rs. Lakhs)

Particulars	As at 31 March, 2019	As at 31 March, 2018
Secured bank overdraft facility :		
-amount used	1,084.43	528.99
-amount unused	302.33	893.53

E) Financial Instruments By Category

(Amount in Rs. Lakhs)

Particulars	31/03/2019		
	FVTPL	FVTOCI	Amortized cost
Financial Assets:			
Investments			
Equity instruments	10.00	170.00	-
National saving certificates	-	-	0.03
Trade Receivables	-	-	345.12
Cash and Cash Equivalents	-	-	513.56
Other Balances with Banks	-	-	1.12
Other Financial Assets	-	-	23.35
Total Financial Assets	10.00	170.00	883.18
Financial Liabilities:			
Borrowings	-	-	1,048.67
Trade Payables	-	-	103.88
Other Financial Liabilities	-	-	208.31
Total Financial Liabilities	-	-	1,360.86

(Amount in Rs. Lakhs)

Particulars	31/03/2018		
	FVTPL	FVTOCI	Amortized cost
Financial Assets:			
Investments			
Equity instruments	10.00	168.82	-
National saving certificates	-	-	0.03
Trade Receivables	-	-	324.93
Cash and Cash Equivalents	-	-	17.23
Other Balances with Banks	-	-	1.10
Other Financial Assets	-	-	25.37
Total Financial Assets	10.00	168.82	368.66
Financial Liabilities:			
Borrowings	-	-	493.23
Trade Payables	-	-	92.55
Other Financial Liabilities	-	-	200.10
Total Financial Liabilities	-	-	785.88

38. Disclosure as per Ind AS 113 'Fair Value Measurement'

Fair Value Hierarchy:

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are (a) recognised and measured at fair value and (b) measured at amortised cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the Indian Accounting Standards. An explanation of each level follows underneath the table.

As at 31st March 2019

(Amount in Rs. Lakhs)

Financial Instruments measured at Fair Value - recurring fair value measurement	Level 1	Level 2	Level 3	Total
Financial Assets				
Investments in Equity Instruments	-	-	180.03	180.03
Total	-	-	180.03	180.03

SHARMA EAST INDIA HOSPITALS & MEDICAL RESEARCH LIMITED 2018-19

As at 31st March 2018

(Amount in Rs. Lakhs)

Financial Instruments measured at Fair Value - recurring fair value measurement	Level 1	Level 2	Level 3	Total
Financial Assets				
Investments in Equity Instruments	-	-	178.85	178.85
Total	-	-	178.85	178.85

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes investments in quoted equity instruments. Quoted equity instruments are valued using quoted prices on recognised stock exchange.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximise the use of observable market data.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

Fair value of financial assets and liabilities measured at amortised cost:

- 1) The Fair Values of Loans and Borrowings are calculated based on cash flows discounted at current discount rate. Fair Values confer with their respective amortised costs.
- 2) The carrying amounts of trade and other receivables, trade Payables, cash and cash equivalents and other financial assets and liabilities are considered at their fair value due to short term nature.

39. No Government Grants/Aids were received during the year.

40. There were no transactions in Foreign Currency during the year.

41. No Borrowing Costs are capitalized during the year.

42. Balances of Patient Debtors, Trade Payables, loans and advances and other debit/credit balances are analyzed but subject to confirmation and adjustments necessary upon reconciliation thereof. The effect of the adjustment arising from reconciliation and settlement of old outstanding dues and possible loss that may arise on account of non-recovery or partial recovery of such dues is presently not ascertainable.

43. Audit Fees:

(Amount in Rs. Lakhs)

Particulars	31.03.2019	31.03.2018
Statutory Audit Fees	2.12	2.36

44. There are no amounts due and outstanding to be credited to the Investor Education and Protection Fund.

45. During the financial year, the Company has sold a plot of land situated at Jaisinghpura, Jaipur forming part of its fixed assets. Refer note no. 22 to the financial statements 'Other Income'.

46. During the financial year, certain fixed assets of the Company were destroyed by fire which occurred at the premises of the Hospital building of the Company. The fixed assets destroyed comprise of Plant and Machinery, Furniture and Fixtures etc., the carrying amounts of which have already been derecognized and adjusted in the balance of retained earnings as on 01.04.2014 as per the transitional provisions of Schedule II to the Companies Act, 2013.

47. During the financial year, the Company has applied to BSE Ltd. for revocation of suspension of trading of its equity shares on the platform of Bombay Stock Exchange. The same is pending for in-principle approval of the Stock Exchange.

48. On March 30, 2019 the Ministry of Corporate Affairs issued the Companies (Indian Accounting Standards) (Amendments) Rules, 2019, notifying Ind AS 116 on Leases. Ind AS 116 would replace the existing leases standard Ind AS 17. The Company is currently evaluating the implications of Ind AS 116 on the financial statements.

49. The Companies (Indian Accounting Standards) Amendment Rules, 2019 also notified amendments to Ind AS 12, Income taxes, Ind AS 23, Borrowing costs, Ind AS 28 – Investment in associates and joint ventures, Ind AS 103 and Ind AS 111 – Business combinations and joint arrangements, Ind AS 109 – Financial instruments and Ind AS 19 – Employee benefits. The amendments would be effective from April 1, 2019. The Company is in the process of evaluating the impact of such amendments.

50. Figures of current and previous year have been presented in INR (Indian Rupees).

51. Previous year figures have been restated, regrouped and rearranged, wherever considered necessary, to confirm to this year's classification. However these changes have no material impact on the Financial Statements.

As per our report of even date attached

**FOR AMIT GOYAL & CO.
CHARTERED ACCOUNTANTS
FRN: 003778C**

**FOR AND ON BEHALF OF SHARMA EAST INDIA
HOSPITALS AND MEDICAL RESEARCH LIMITED**

**Sd/-
(RAJEEV KUMAR)
PARTNER
M.NO:075730**

**Sd/-
(SHAILENDRA KUMAR SHARMA)
MANAGING DIRECTOR
DIN: 00432070**

**Sd/-
(MAYA SHARMA)
DIRECTOR
DIN: 00432496**

**Sd/-
JAIPUR
30.05.2019
(VIMAL KUMAR JOSHI)
CHIEF FINANCIAL OFFICER**

**Sd/-
(SHIV SHANKAR SHARMA)
COMPANY SECRETARY
M. NO. ACS-43106**

SHARMA EAST INDIA HOSPITALS AND MEDICAL RESEARCH LIMITED
REGISTERED OFFICE: JAIPUR HOSPITAL, NEAR SMS STADIUM, LAL KOTHI, TONK ROAD, JAIPUR-302015
CIN: L85110RJ1989PLC005206
E-Mail: sharmaeastindia@gmail.com Website: www.jaipurhospital.co.in

Proxy Form

(Pursuant to Section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014)

Name of the member(s): _____
Registered Address: _____
E-mail ID: _____ Folio No/Client ID No. _____
DP ID: _____

I/We, being the member(s) of Sharma East India Hospitals & Medical Research Limited,
holding _____ no. of shares of the above named company, hereby appoint

- | | | |
|----|------------------|-----------------|
| 1. | Name: _____ | Address : _____ |
| | E-mail ID: _____ | Signature _____ |
| | or failing him, | |
| 2. | Name: _____ | Address : _____ |
| | E-mail ID: _____ | Signature _____ |
| | or failing him, | |
| 3. | Name: _____ | Address : _____ |
| | E-mail ID: _____ | Signature _____ |

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the Thirtieth Annual General Meeting of the company, to be held on Monday, September 30, 2019 at 3.00 P.M. at Sharma Agricultural Farm, Takia Ki Chowki, Kalwar Road, Jhotwara, Jaipur and at any adjournment thereof in respect of such resolutions as indicated below:

Resolution No.:

1. **Adoption of Financial Statements, Report of Directors and Auditors thereon for the year ended March 31, 2019.**
2. **Re-appointment of Mrs. Maya Sharma as a Director liable to retire by rotation.**

Affix
1 Rupee
Revenue
Stamp

Signed this _____ day of _____ 2019

Signature of Member.....Signature of Proxy holder(s).....

Notes: This form of proxy in order to be effective should be duly signed, completed and deposited at the registered office of the Company, not less than 48 hours before the commencement of the Meeting.

SHARMA EAST INDIA HOSPITALS AND MEDICAL RESEARCH LIMITED
REGISTERED OFFICE: JAIPUR HOSPITAL, NEAR SMS STADIUM, LAL KOTHI TONK ROAD, JAIPUR-302015
CIN: L85110RJ1989PLC005206
E-Mail: sharmaeastindia@gmail.com Website: www.jaipurhospital.co.in

ATTENDANCE SLIP

(To be handed over at the entrance of the Meeting hall)

30th ANNUAL GENERAL MEETING - MONDAY, SEPTEMBER 30, 2019 AT 3.00 P.M.

At Sharma Agriculture Farm, Takia Ki Chowki, Kalwar Road, Jhotwara, Jaipur.

Folio No..... DP ID No..... Client ID No.....

Name of the member (In BLOCK LETTERS)..... Signature.....

Name of the proxy holder (In BLOCK LETTERS)..... Signature.....

I certify that I am a Member / Proxy / Authorised Representative for the member of the Company. I hereby record my presence at the 30th Annual General Meeting of the Company.

Note:-

1. Only Member /Proxy holder can attend the Meeting.
2. Member/Proxy holder should bring his/her copy of the Annual Report for the reference at the Meeting.

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[illegible]



**Jaipur
Hospital**

We care for life.....

(A Unit of Sharma East India Hospitals and
Medical Research Limited)

If undelivered, Please Return to :

**SHARMA EAST INDIA HOSPITALS AND
MEDICAL RESEARCH LIMITED
JAIPUR HOSPITAL**

**LAL KOTHI, NEAR S.M.S. STADIUM,
TONK ROAD, JAIPUR - 302 015**